MONETARY POLICY REPORT

AUGUST 2026



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இலங்கை மத்திய வங்கி
CENTRAL BANK OF SRI LANKA

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MONETARY POLICY FRAMEWORK OF THE CENTRAL BANK OF SRI LANKA

Under the Central Bank of Sri Lanka Act, No. 16 of 2023 (CBA), the primary objective of the Central Bank of Sri Lanka is to achieve and maintain domestic price stability. By maintaining low and stable inflation, the Central Bank contributes to promoting sustained economic growth over the long term, thereby supporting the well-being of the public.

The Central Bank conducts monetary policy to achieve and maintain domestic price stability. The Monetary Policy Board (MPB)[1] is responsible for formulating monetary policy and implementing a flexible exchange rate regime that is consistent with the Flexible Inflation Targeting (FIT) framework. This framework aims to keep inflation aligned with the target set out in an agreement between the Minister of Finance and the Central Bank. This agreement is known as the Monetary Policy Framework Agreement (MPFA). The current agreement, published in the Government Gazette in October 2023, requires the Central Bank to maintain quarterly headline inflation at 5%.[2] A margin of ±2 percentage points is allowed under MPFA (i.e., 3.0% – 7.0%) to measure potential deviations from the target and for accountability purposes. A breach of the margin for two consecutive quarters requires the MPB to submit a report to Parliament through the Minister of Finance, which shall also be made available to the public. The inflation target and other related parameters specified in the agreement are subject to review every three years.

The Central Bank uses its policy instruments to steer short-term market interest rates along the desired path to achieve the inflation target. Under the current monetary policy framework, the Overnight Policy Rate (OPR) serves as the Central Bank's primary monetary policy instrument to signal and implement its policy stance, with the Average Weighted Call Money Rate (AWCMR) serving as its operating target. Accordingly, once the OPR is announced, the Central Bank conducts and calibrates its monetary operations to maintain AWCMR at or close to the OPR. In doing so, due consideration is also given to prevailing and anticipated market liquidity conditions. Subsequently, overnight market interest rates, aligned with the monetary policy stance, are transmitted through financial markets to the broader economy, ultimately influencing inflation.

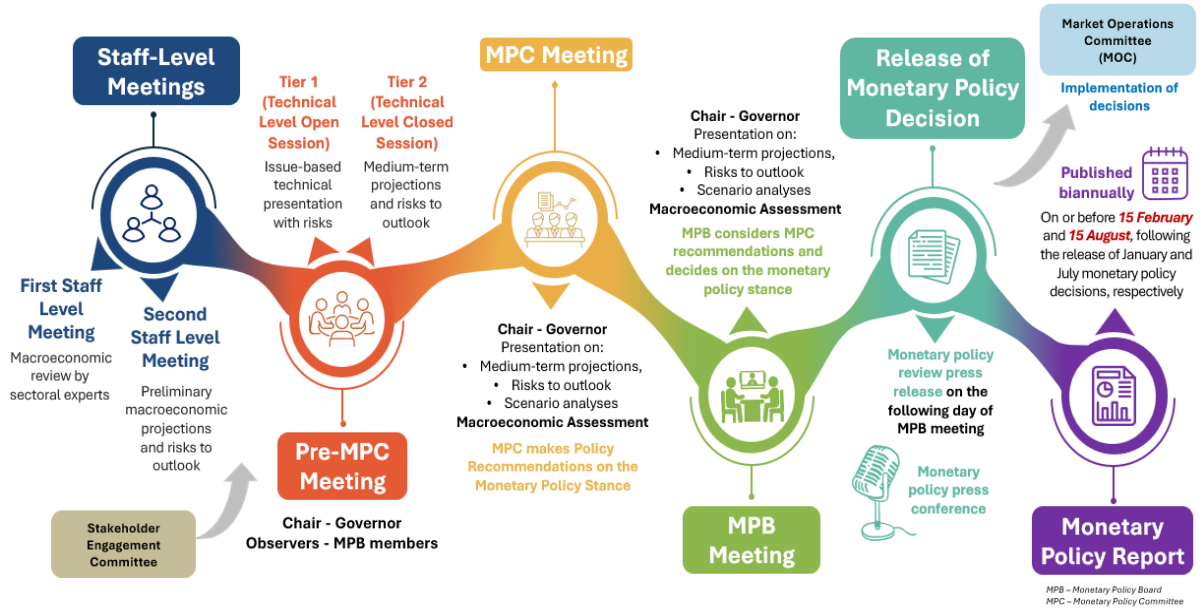
[1] The MPB of the Central Bank consists of the Governor, members of the Governing Board, two other appointed members, who are experts in Economics or Finance as well as the Deputy Governors in charge of price stability and financial system stability.

[2] The inflation target was communicated to the public in the Extraordinary Gazette No. 2352/20. Quarterly headline inflation refers to the simple average of the y-o-y percentage changes in the monthly Colombo Consumer Price Index (CCPI) during the three months of the corresponding quarter.

Monetary policy decisions are forward-looking and data-driven. Given that monetary policy actions impact the broader economy with a lag, particularly inflation, a forward-looking approach is essential. The MPB meets six times a year to decide on the appropriate monetary policy stance. In making its decisions, the MPB evaluates current inflation dynamics and its outlook, the state of the economy and future economic prospects, and the associated risks and uncertainties surrounding such forecasts. The evaluation also takes into consideration the projected key global economic trends, uncertainties and its outlook. The projections discussed during these meetings are based on available data, near-term forecasts of key macroeconomic variables, projections of global indicators, as well as expert staff judgements. The Monetary Policy Committee (MPC), an internal committee chaired by Governor, provides policy recommendations for the consideration of the MPB, following detailed technical and policy deliberations.

The Monetary Policy Report (MPR), an important element of the FIT framework, is prepared as per Sections 27 and 80 of the CBA. These sections mandate the Central Bank to publish a biannual report that explains recent trends in inflation, underlying sources of inflation, medium-term inflation projections, including key risks to those projections and implementation of its monetary policy and the achievement of its objectives. This report serves as a testament to the Central Bank's commitment to policy transparency, accountability and credibility. In addition, it serves to raise public awareness on current economic affairs in the domestic economy, as well as the global economy, while providing an assessment of the economic growth outlook along with associated risks.

Figure 01: Monetary policy decision-making process in Sri Lanka *(Six times a year)*



EXECUTIVE SUMMARY

Sri Lanka's macroeconomic conditions have remained broadly resilient thus far in 2026, despite an extremely challenging and volatile external environment marked by heightened geopolitical tensions in the Middle East since late February 2026, with spillovers to the domestic economy.

Headline inflation, which averaged around 2% in Q1-2026, has accelerated sharply since then, reaching levels above the target, primarily due to the immediate pass-through of higher global energy prices to domestic fuel and energy prices, and their associated spillover effects on other sectors. While the recent acceleration in inflation has been largely supply-driven, strengthening domestic demand conditions, as reflected in the notable expansion of credit and credit-driven imports, have also contributed to underlying inflationary pressures. Accordingly, headline inflation is projected to remain elevated and above the target in the near term before moderating and converging towards the target thereafter, as the effects of recent supply-side shocks dissipate and the impact of monetary policy tightening feeds through to the broader economy. Core inflation is also anticipated to increase and reach levels around the headline inflation target. Meanwhile, the balance of risks to the inflation outlook remains skewed to the upside in both the near and medium term, reflecting elevated uncertainty in global commodity markets and the looming risk of adverse weather conditions associated with El Niño. Nevertheless, inflation expectations remain broadly anchored around the target over the medium term.

Amid the elevated inflation outlook, the Central Bank decisively tightened the monetary policy stance in May 2026, marking an end to its accommodative stance of monetary policy, that had been in place since mid-2023, in an effort to rein in inflation and mitigate the risk of inflation expectations de-anchoring. Accordingly, the market interest rate structure adjusted upwards in line with the policy rate tightening. Credit to the private sector, which continued to remain robust, reflecting sustained economic activity and import demand, is expected to moderate in the period ahead, driven by tighter financial conditions and other policy measures taken by the Central Bank and the Government.

External sector resilience came under test with the escalation of tensions in the Middle East and higher motor vehicle imports, resulting in a deficit in the external current account in H1-2026 after three consecutive years of surplus. Although workers' remittances remained strong, higher expenditure on fuel and vehicle imports, together with the moderation in tourism earnings, largely contributed to the deficit in the current account. The Sri Lanka rupee, which remained broadly stable in the early part of 2026, experienced depreciation pressures, particularly during

the March-June 2026 period, with the escalation of tensions in the Middle East.[3] Although efforts to build and preserve reserve buffers continued, challenging global conditions and continued foreign debt servicing resulted in a moderation of gross official reserves (GOR) by end June 2026. This moderation was partly cushioned by inflows from multilateral institutions.

Fiscal sector performance continued to strengthen during the first five months of 2026, underpinned by sustained revenue-based fiscal consolidation measures.

Supported by strengthened macroeconomic fundamentals, improved economic resilience and favourable financial conditions during the early part of the year, the economy recorded robust real Gross Domestic Product (GDP) growth of 5.1% in Q1-2026, following two consecutive years of 5.0% growth in 2024 and 2025. Leading economic indicators also showed a continuation of this growth momentum. Nevertheless, a resurgence in geopolitical tensions and the associated implications for the global economy, including renewed commodity price shocks, trade disruptions, a slowdown in global demand, and possible adverse weather-related events domestically, could continue to weigh on economic activity in the period ahead.

[3] The Sri Lanka rupee depreciated by 7.4% against the USD as of 12 August 2026.

1. MONETARY POLICY SUMMARY

At the second Monetary Policy Review for the year in March 2026, the Central Bank decided to maintain the OPR at the prevailing level, amid uncertainty surrounding the ongoing war in the Middle East. The decision to keep its monetary policy stance unchanged was supported by the low level of inflation relative to the inflation target of 5%, which provided some policy space to absorb the impact of higher energy prices and their pass-through to inflation.

The Central Bank of Sri Lanka tightened its monetary policy stance in May 2026, marking the end of the accommodative monetary policy phase that had been in place since June 2023. The OPR was raised by 1 pp to 8.75% in May 2026 in response to the elevated inflation outlook, owing to adverse spillover effects from the escalation of the war in the Middle East since late February 2026, the gradual strengthening of domestic demand, as reflected in the continued expansion of private sector credit, credit-driven imports, and improved domestic economic activity as reflected by leading economic indicators. In addition, heightened pressures in the external sector, the potential second-round effects on inflation from energy price adjustments, and the risk of de-anchoring inflation expectations also led to the adoption of a tighter and cautious monetary policy stance.

During the July 2026 monetary policy round, the Central Bank held the policy rate unchanged, allowing sufficient time for the transmission of the monetary policy tightening implemented in May 2026 to take effect, with a view to moderating credit growth and demand pressures going forward. Despite the recent acceleration in inflation, inflation expectations remained broadly anchored around the target, while some easing of external sector pressures provided room to maintain the policy rate at its current level. However, the rapidly evolving global geopolitical conditions and resultant global economic uncertainty continue to pose risks to the domestic inflation outlook, thereby warranting continued caution in the conduct of monetary policy.

The MPB will meet in September 2026 for the fifth monetary policy review of the year.

Monetary Policy Decisions since the last Monetary Policy Report

(February 2026 – July 2026)



2. INFLATION AND ECONOMIC OUTLOOK

Medium-term macroeconomic projections made by the Central Bank staff, in support of the monetary policy decision during July 2026, are summarised in this section, with a focus on the projections of inflation and real economic growth.[4] These projections reflect the available data, near-term forecasts of key variables, global macroeconomic projections, and assumptions and staff judgements made at the July 2026 monetary policy round. These projections are considered the *baseline forecast* in this Report.

Amid the fluid situation in the Middle East and its wide-ranging spillovers across both global and domestic economic activity, the present macroeconomic projections are associated with elevated uncertainty. Accordingly, any significant changes in underlying conditions could lead to notable deviations from these projections.

2.1. Baseline Forecast

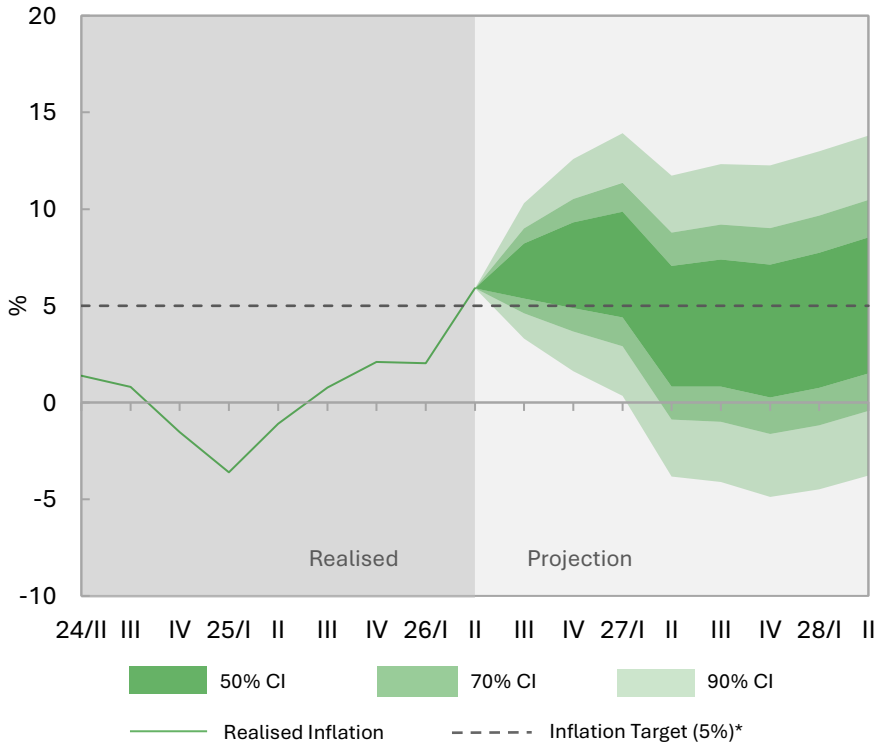
Headline inflation is expected to remain above the target of 5% in the near term before stabilising towards the target over the medium term, supported by appropriate policy measures. This expected inflation trajectory is conditional on the assumption that the effects of the tensions in the Middle East and their spillovers are temporary and will gradually dissipate. Meanwhile, the outlook for economic growth remains relatively stable, with near-term prospects improving amid less severe-than-previously-anticipated economic spillover effects from geopolitical tensions in the Middle East. Accordingly, economic growth for 2026 is currently projected to be in the range of 4% to 5%, continuing the growth momentum recorded in the previous years. Improving domestic demand and continued macroeconomic stability are expected to support economic growth over the medium term. Nevertheless, the outlook remains subject to heightened uncertainty associated with geopolitical developments and evolving domestic and external conditions, and climate risks.

[4] The Central Bank uses a Quarterly Projection Model (QPM), a semi-structural macroeconomic model, to arrive at medium-term macroeconomic projections. These projections are updated during each monetary policy round, using data on the latest economic developments, including, but not limited to, global macroeconomic forecasts and monthly releases of inflation data and quarterly releases of GDP data by the Department of Census and Statistics (DCS). As part of the efforts in adopting continuous improvements to the modelling infrastructure, the QPM is generally reviewed at the beginning of the year, when necessary, to reflect evolving economic conditions.

Prospects for Inflation

The Colombo Consumer Price Index (CCPI, 2021=100) based quarterly headline inflation averaged 5.9% in Q2-2026, ending the eight-quarter-long period of inflation remaining below the target by more than the margin as stipulated in the MPFA.[5]

Figure 02: Baseline Quarterly Headline Inflation Forecast (CCPI, y-o-y)
Based on the Projections during the July 2026 Monetary Policy Round



**The inflation target (5%) was agreed under the Monetary Policy Framework Agreement (MPFA) signed between the Central Bank and the Minister of Finance in October 2023.*

Note: Realised data shown in the fan chart are based on the CCPI (2021=100, seasonally adjusted).

Source: Central Bank Staff Projections

Note: A forecast is neither a promise nor a commitment

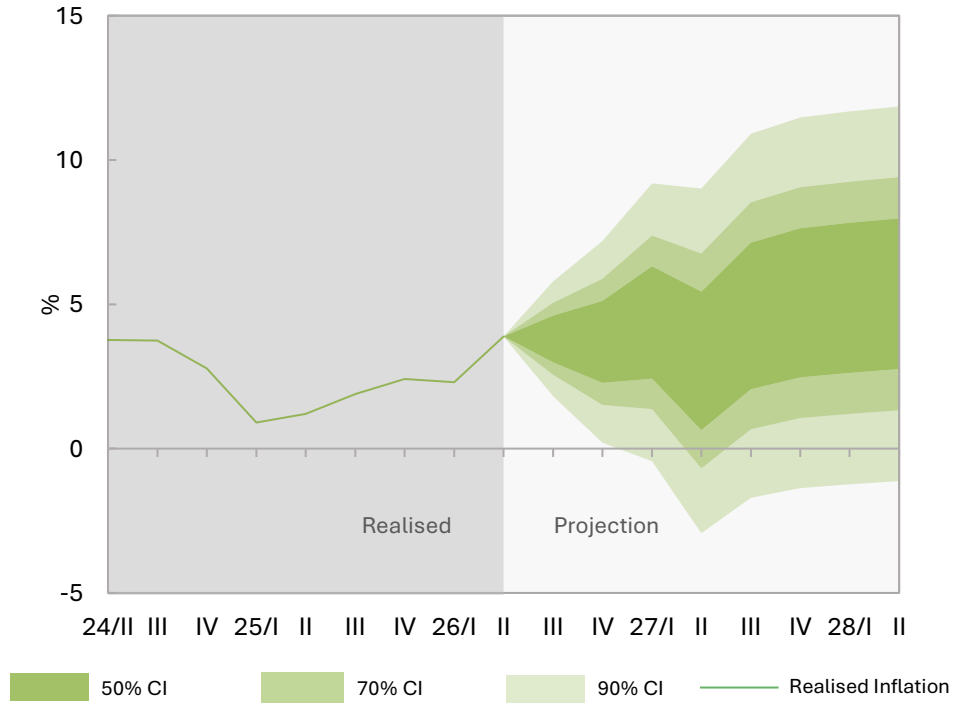
The projections reflect the available data, assumptions and judgements made at the monetary policy round in July 2026. They are conditional on the forecasts of global energy and food prices; the gradual growth recovery of Sri Lanka's major trading partners; the anticipated fiscal path of the Government; and global financial conditions implied by the United States (US) Fed Funds rate. Moreover, the projections are conditional on the model-consistent interest rate path and the resulting macroeconomic responses, including that of the exchange rate. Further, no major macroeconomic policy shifts are anticipated in the baseline projections. Thus, the continuation of the IMF-EFF and efforts on fiscal consolidation are implied. Any notable deviation from the underlying assumptions and judgements could lead to the realised inflation path deviating from the projected path. Medium-term macroeconomic projections, together with the fan charts, will be continuously updated during each monetary policy round. Given the volatile global environment and the uncertainties in the domestic economy, the baseline forecasts are exposed to various potential upside and downside risks. Details on risks to the baseline forecast are discussed in the "Risks to Realisation of Baseline Projections" section.

[5] Section 26(5) of Central Bank of Sri Lanka Act, No. 16 of 2023 (CBA) stipulates that if the Central Bank fails to meet the inflation target by an agreed margin, for two consecutive quarters, the MPB shall submit a public report to the Parliament containing the reasons for the failure to achieve the inflation target, remedial actions proposed to be taken by the Central Bank, and an estimate of the time period within which the inflation target shall be achieved. According to the MPFA signed in October 2023, the inflation target and the margin are determined as 5% and ±2 percentage points (pps), respectively.

Headline inflation is expected to remain above the target in the near term, mainly due to elevated energy and transport inflation, exchange rate pass-through to imported prices and higher volatile food inflation, along with its base effect. Thereafter, headline inflation is projected to moderate to the target level, conditional on the assumption that the effects of the tensions in the Middle East and their spillovers are temporary, and that they will gradually dissipate. Headline inflation is expected to stabilise around the target over the medium term, supported by appropriate policy measures.

Consistent with the trajectory of headline inflation, core inflation, which reflects the underlying demand conditions in the economy, is expected to show some gradual acceleration and remain around the headline inflation target over the medium term. Core inflation in the near term is expected to be driven mainly by imported inflation, including spillovers from global food prices and global inflation trends, and the pass-through effects of energy and transport inflation.

Figure 03: Baseline Quarterly Core Inflation Forecast (CCPI, y-o-y)
Based on the Projections during the July 2026 Monetary Policy Round



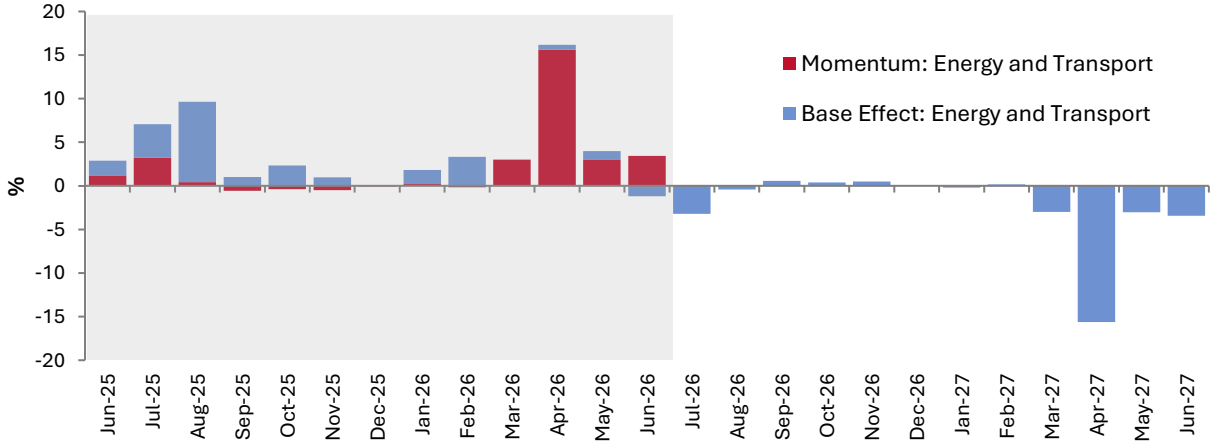
Note: Realised data shown in the fan chart are based on the CCPI (2021=100, seasonally adjusted).
See the explanatory note in Figure 02 above.

Source: Central Bank Staff Projections

Energy and transport inflation accelerated significantly in Q2-2026 following upward revisions to fuel, electricity, and LP gas prices, before moderating marginally with the downward revisions to fuel and LP gas prices in July 2026. Energy and transport inflation is expected to remain elevated in the near term. Weather-related uncertainties would also shape the outlook for

energy inflation through elevated electricity generation costs. Thereafter, under the assumption that the effects of the tensions in the Middle East and their spillovers are temporary and expected to gradually dissipate, energy and transport inflation is expected to gradually moderate over the remainder of the projection horizon.

Figure 04: Energy and Transport Inflation: Momentum and Base Effect (CCPI, 2021=100)[6]

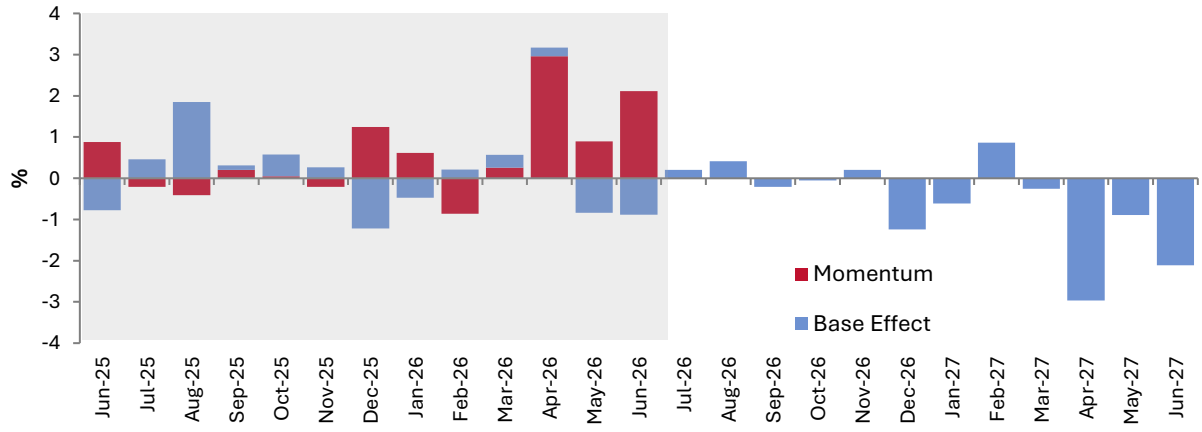


Source: Central Bank Staff Calculations

Volatile food inflation is projected to remain elevated in the near term before gradually easing over the medium term. The increase in volatile food prices observed in June 2026, particularly for vegetables and fish, together with higher transport costs, is expected to exert upward pressure on food inflation in the near term. Nevertheless, the outlook for volatile food inflation remains subject to weather-related uncertainties, which could lead to greater-than-expected price volatility. However, such developments are inherently difficult to incorporate into projections due to their unpredictable nature and are therefore treated as risks to the realisation of inflation projections.

[6] Please refer to Box A of the MPR – August 2025 for a detailed discussion on base effect and momentum.

Figure 05: Headline Inflation: Momentum and Base Effect (CCPI, 2021=100)[6]

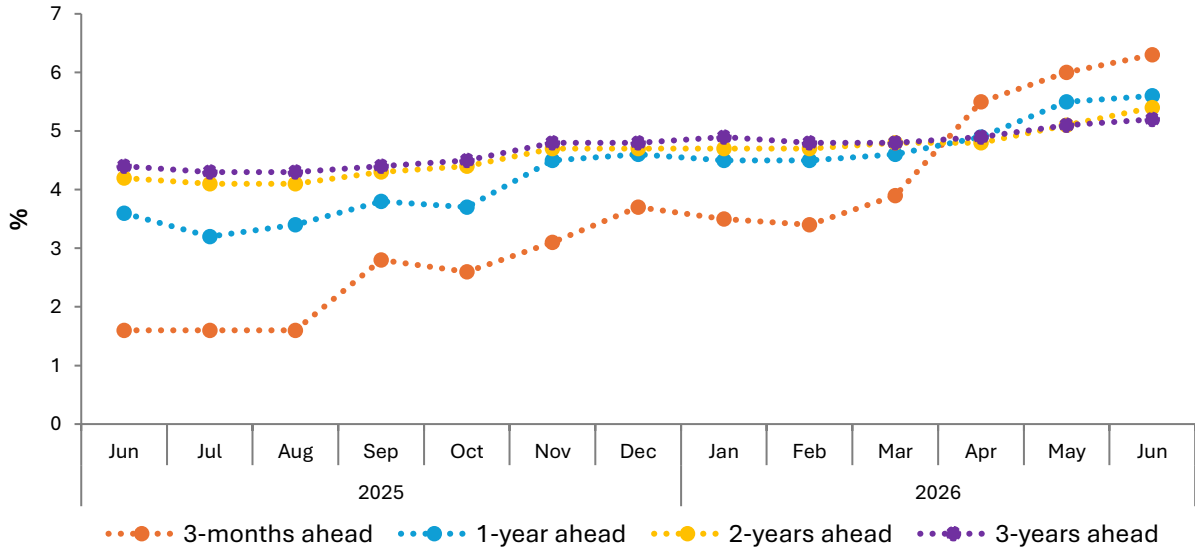


Source: Central Bank Staff Calculations

Inflation Expectations

As per the Inflation Expectations Survey conducted by the Central Bank, inflation expectations of the corporate sector increased across all horizons during H1-2026, albeit by varying magnitudes. Short-term inflation expectations, covering the 3-month and 1-year ahead horizons, increased notably from January 2026 to June 2026, broadly reflecting developments in actual inflation during this period. In particular, 3-month ahead expectations rose significantly in April 2026 alongside the sharp increase in headline inflation following relatively low and stable inflation during the early part of the year. The upward shift in short-term inflation expectations is also heightened by uncertainty surrounding the geopolitical tensions in the Middle East, including concerns over global energy prices, supply chain disruptions, and other cost pressures. However, the increase in inflation expectations over the medium-term remained marginal, with expectations remaining broadly anchored around the inflation target of 5%. While short-term expectations are inherently adaptive, the continued anchoring of medium-term expectations indicates that, on average, corporates perceive the recent increase in inflation as a short-term phenomenon and remain confident that inflation will converge towards the target over the medium term.

Figure 06: Inflation Expectations - Corporate Sector (%)



Source: Central Bank of Sri Lanka

Note

The chart presents Corporate Sector inflation expectations as reported in successive rounds of the Inflation Expectations Survey conducted monthly. The x-axis represents survey rounds (months), while each line indicates expected inflation for different horizons: 3 months, 1 year, 2 years, and 3 years ahead. The 3-month and 1-year ahead horizons capture short-term expectations, whereas the 2-year and 3-year ahead horizons reflect medium-term expectations. Changes in each series show how expectations evolve over time.

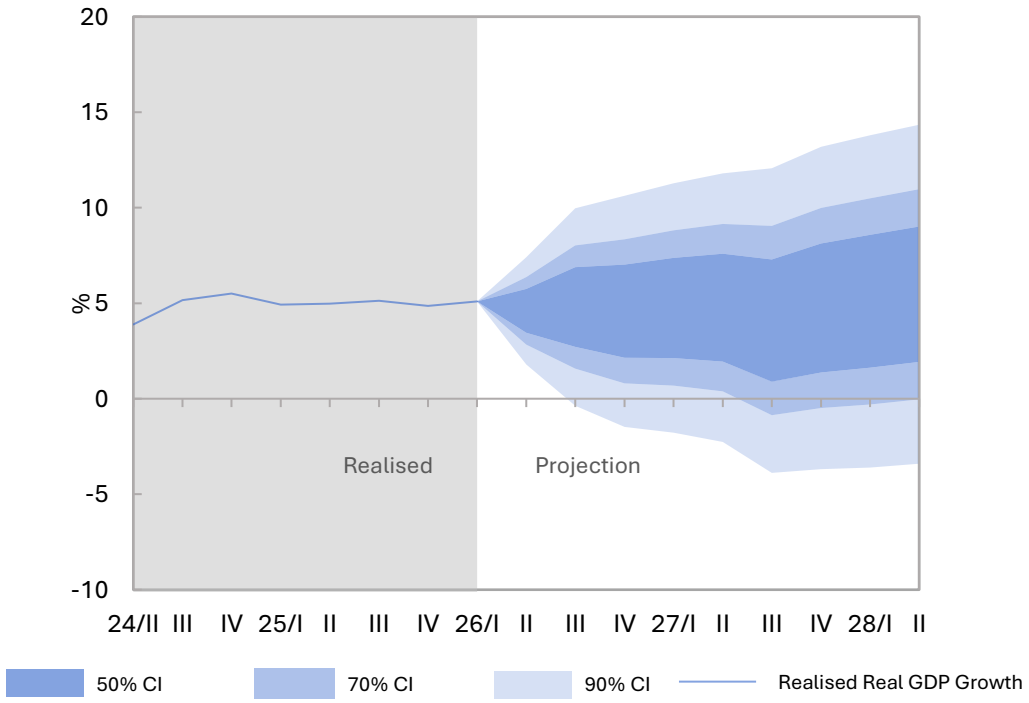
Prospects for Real Economic Growth

Based on leading economic indicators, survey findings, and staff assessments, real GDP growth in Q2-2026 is expected to remain steady, reflecting the performance in industry and services sectors. Near-term growth prospects remain broadly positive amid less severe-than-previously-anticipated economic spillover effects from geopolitical tensions in the Middle East. Meanwhile, the medium-term growth trajectory is expected to gradually strengthen towards its potential, supported by improving domestic demand and continued macroeconomic stability. However, the pickup in domestic demand is expected to be somewhat gradual, partly reflecting the transmission of the recent monetary policy tightening.

It is noteworthy that the medium-term economic growth outlook is subject to heightened uncertainty associated with geopolitical developments, evolving domestic and external conditions, and climate risks. Renewed geopolitical tensions in the Middle East could adversely affect global energy markets, trade flows, supply chains, and investor sentiment, with potential spillovers to domestic economic activity. Developments in Sri Lanka's major trading partners, amid global trade and policy uncertainties, will also shape Sri Lanka's growth trajectory in the

period ahead. Meanwhile, recurrent adverse weather-related shocks could constrain medium- to long-term growth, underscoring the need for policies that promote sustainable and climate-resilient economic growth. Against this backdrop, the continuation of the ongoing economic growth momentum is conditional upon the timely and effective implementation of targeted structural reforms and growth-enhancing strategies.

Figure 07: Baseline Quarterly Real GDP Growth Forecast (y-o-y)
Based on the Projections during the July 2026 Monetary Policy Round



See the explanatory note in Figure 02 above.

Source: Central Bank Staff Projections

2.2. Key Assumptions Underpinning the Forecast

A summary of the key assumptions used in arriving at medium-term forecasts at the monetary policy round in July 2026 is provided in this section.

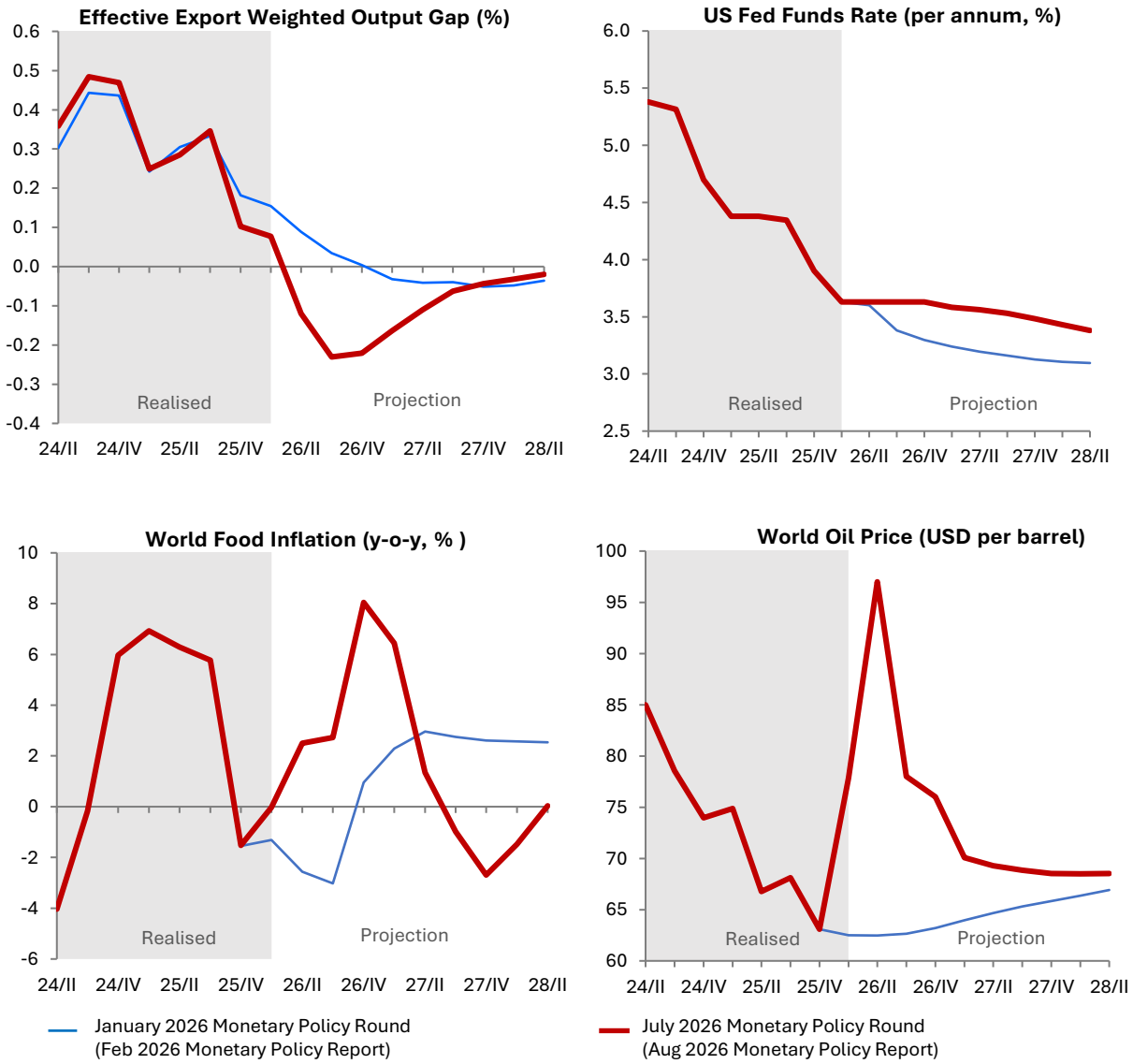
Global Environment

Global economic conditions remain subject to elevated uncertainty, amid geopolitical tensions in the Middle East. According to the Global Projection Model Network (GPMN),[7] the export-weighted foreign output gap[8] is projected to remain negative over the near term, before narrowing towards neutral levels over the medium term. Monetary policy in the US is assumed to remain unchanged through 2026. GPMN projects that the federal funds rate would be maintained at its current level into 2027, despite inflation remaining above the target, before commencing a gradual easing thereafter. Brent crude oil prices are projected to average around USD 80 per barrel in 2026 and around USD 70 per barrel in 2027. Meanwhile, global food prices remain close to a three-year high but are projected to moderate gradually over the medium term, supported by prospects for improved global supply conditions. Subsequent to the release of the information discussed above, the tensions in the Middle East resurfaced, resulting in further volatility in energy and commodity prices and the overall external sector outlook. However, these latest developments have been taken into consideration in arriving at near-term forecasts, which are used as an input in generating medium-term projections.

[7] The Central Bank uses projections of global macroeconomic indicators prepared by GPMN as inputs for medium-term projections. Projections used in the July 2026 monetary policy round is based on the update from GPMN received on 24 June 2026. After this update, tensions in the Middle East have resurfaced, resulting in renewed volatility in global energy prices, which has been appropriately incorporated into the near-term inflation forecasts. In addition, the Central Bank considers projections from a range of other international institutions when assessing the robustness of the global assumptions underpinning the baseline forecast.

[8] The export-weighted foreign output gap is calculated as a weighted average of trade partners' output gaps provided in GPMN projections by using normalised shares of exports corresponding to six major trading partners of Sri Lanka.

Figure 08: Global Projections (Quarterly)



Note: In the latest GPMN projections, Q1-2026 is considered the most recent realised time period until the complete realised data set becomes available from the multitude of countries it takes into account

Sources: QPM, GPMN (Updated on 20/01/2026 and 24/06/2026)

Fiscal Path

The assumptions related to the fiscal path incorporated in the current projections have been updated according to the information from the Fiscal Strategy Statement 2027, published by the Ministry of Finance, Planning and Economic Development in June 2026.

External Current Account

Compared to the surpluses recorded over the past three years, a moderate current account deficit is estimated for 2026, mainly reflecting a widening trade deficit driven by higher fuel and vehicle imports and a moderation in the services account surplus due to lower tourism earnings despite healthy remittance flows.

2.3. Risks to Realisation of Baseline Projections

There are both upside and downside risks to the realisation of baseline projections of inflation and GDP growth presented in this Report. An exposition of such risks, as per the monetary policy round in July 2026, is provided in this section. The realisation of one or more risks discussed in this section could lead to actual inflation and/or GDP growth deviating from the projected baseline path. In the event of the realisation of both upside and downside risks, the direction of the actual inflation or GDP growth will be shaped by the relative strength of these risks.

Risks to Realisation of Inflation Projections

Several upside risks could potentially drive inflation on a higher trajectory than the projected path. These upside risks could stem from the possibility of the exacerbation of geopolitical tensions, which could disrupt global commodity markets, energy supplies, and shipping routes, potentially leading to increases in domestic energy and transport costs, and fertiliser prices. Further depreciation of the Sri Lanka rupee at higher levels arising from adverse market sentiment and external shocks could increase the domestic prices of imported goods and production inputs, thereby exerting upward pressure on inflation. In addition, possible adverse weather events, including the El Niño conditions, could disrupt agricultural production and hydropower generation, exerting upward pressure on food and energy inflation.

Meanwhile, downside risks to the realisation of inflation projections could stem from the possibility of lower-than-expected global energy prices, in the event of an easing of geopolitical tensions. Such developments could lead to lower domestic energy and transport costs, potentially resulting in inflation following a lower trajectory than projected.

As per the judgements at the current monetary policy round, risks to inflation projections are assessed to be skewed to the upside in both the near and medium term.

Risks to Realisation of Economic Growth Projections

Downside risks to the realisation of growth projections over the near to medium term could arise from several factors. An escalation of geopolitical tensions in the Middle East and heightened global trade and policy uncertainties could weaken economic activity in Sri Lanka's key trading partners, reducing external demand for Sri Lankan exports and adversely affecting export-oriented industries. At the same time, weaker economic conditions in major tourism source markets could reduce tourist arrivals and tourism-related spending, weighing on accommodation, food services, transport, and other tourism-related activities. El Niño conditions could lead to adverse weather, including prolonged dry spells and irregular rainfall patterns, thereby adversely affecting agricultural production and related economic activities. In addition, lower reservoir levels could constrain hydropower generation and increase reliance on more costly thermal power generation, potentially raising energy and production costs. Collectively, these developments could weigh on economic activity across the agriculture, industry, and services sectors, resulting in a lower growth trajectory than currently projected.

On the upside, sustained growth in private sector credit could support stronger-than-expected economic activity through improved consumption and investment. Stronger domestic demand could also generate positive spillovers to trade, transport, and other services-related activities, thereby supporting a higher growth trajectory than currently projected.

2.4. Comparison with the Previous Forecast

This section compares the current forecasts with the forecasts presented in the MPR in February 2026, which were derived during the January 2026 monetary policy round. The forecasts presented in the MPR–February 2026 were prepared prior to the escalation of tensions in the Middle East. In contrast, the current forecasts incorporate the impact of these developments. Consequently, several key assumptions underpinning the baseline forecast have been revised.

Key Assumptions Used for Medium-Term Projections

Based on the global projections used in the July 2026 monetary policy round, the outlook for the export-weighted foreign output gap of Sri Lanka's major trading partners has weakened, compared to the global projections used in the January 2026 monetary policy round, which was presented in MPR-February 2026. This revision mainly reflects weaker growth prospects for the Eurozone, the United Kingdom (UK), and the US, partly due to the spillover effects of tensions in the Middle East. Global food inflation is projected to follow a higher trajectory until early 2027

compared to the projections used in the January 2026 monetary policy round, before moderating to a lower trajectory thereafter. Meanwhile, the projected path of global crude oil prices has been revised significantly upwards, particularly in the near term, reflecting the escalation of tensions in the Middle East, disruptions to key shipping routes, and associated heightened uncertainties. The expected pace of monetary policy easing in the US has also moderated compared to the January 2026 projections.

On the domestic front, the fiscal path incorporated into the current projections has been updated based on information from the Fiscal Strategy Statement 2027, whereas the projections during the January 2026 monetary policy round were based on the Supplementary Budget Estimate 2026. The current projection incorporates a lower fiscal deficit for 2026, in view of the improved revenue performance.

Inflation Path

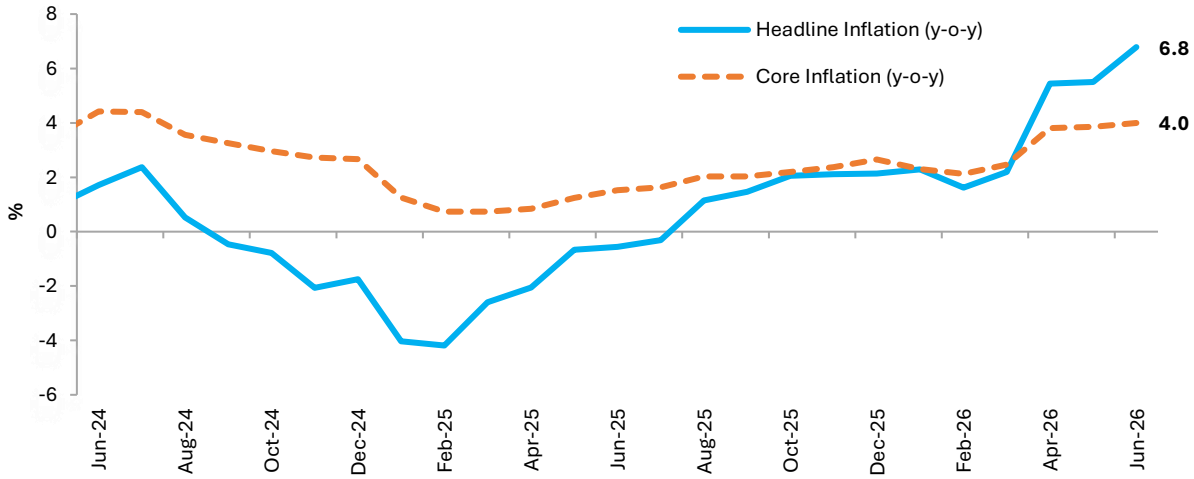
Compared to the projections published in MPR-February 2026, realised year-on-year (y-o-y) headline inflation in Q1-2026 was broadly in line with the projected level. However, realised inflation in Q2-2026 was higher than previously projected, mainly reflecting higher energy prices following the onset of tensions in the Middle East. The latest headline inflation projections also remain above the path presented in the previous MPR, particularly during the remainder of 2026 and into early 2027, mainly reflecting higher energy prices, together with elevated food prices. Following the near-term increase, inflation is projected to moderate as the impact of higher energy prices dissipates, under the assumption that tensions in the Middle East gradually subside. Consistent with the previous projection, headline inflation is expected to converge towards the target over the medium term.

3. CURRENT ECONOMIC DEVELOPMENTS

3.1. Inflation

Headline inflation, which remained subdued during the initial months of 2026, accelerated thereafter and exceeded the target of 5% in April, reflecting the pass-through of higher global oil prices to domestic energy prices following the war in the Middle East.

Figure 09: Movements in Headline and Core Inflation (CCPI, 2021=100)



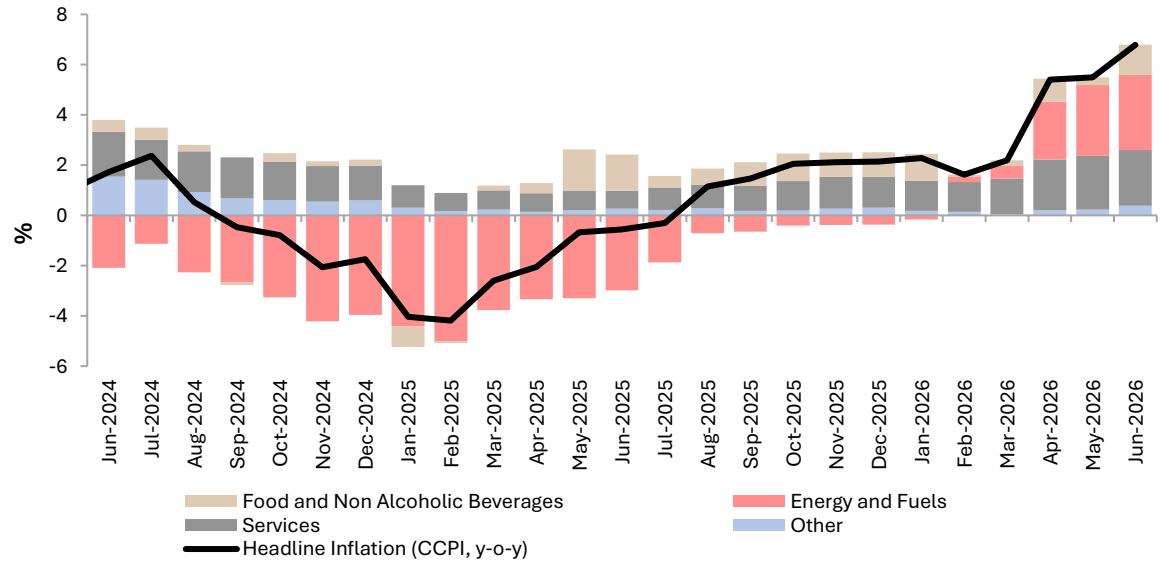
Source: Department of Census and Statistics

The CCPI (2021=100) based headline inflation (y-o-y), which was recorded at 2.3% in January 2026, decelerated to 1.6% in February 2026 primarily due to a moderation in food inflation. Thereafter, headline inflation accelerated to 2.2% in March 2026, driven by rising non-food inflation, along with the statistical base effect. However, in April 2026, CCPI-based headline inflation accelerated sharply to 5.4%, exceeding the target of 5%. This upward trajectory was largely underpinned by external spillovers stemming from the escalation of the war in the Middle East from late February 2026, which disrupted global fuel supply and shipping through the Strait of Hormuz, leading to higher global energy prices, necessitating upward revisions to domestic fuel and LP Gas prices. Headline inflation remained elevated in the subsequent months, accelerating further to 6.8% in June 2026,[9] reflecting the pass-through of continued domestic energy price adjustments, along with the associated second-round effects on food supply chains. During the period under review, CCPI-based food inflation (y-o-y) decelerated from 3.3% in January 2026 to 0.2% in February 2026, which was the lowest recorded in recent months. Thereafter, it followed

[9] CCPI-based headline inflation (y-o-y) increased to 7.3% in July 2026 from 6.8% in June 2026, primarily reflecting the adjustment in housing rent in the non-food category and the base effect in food inflation.

an increasing trend broadly, albeit with intermittent volatility, reaching 3.6% in June 2026. Non-food inflation (y-o-y) accelerated significantly over the same period, rising from 1.8% in January 2026 to 8.4% in June 2026, reflecting both the direct and indirect effects of upward adjustments in domestic fuel, LP Gas, and electricity prices. Meanwhile, the National Consumer Price Index (NCPI, 2021=100) based headline inflation (y-o-y) followed a similar upward trend during H1-2026, recording 6.5% in June 2026 compared to 2.4% in January 2026.

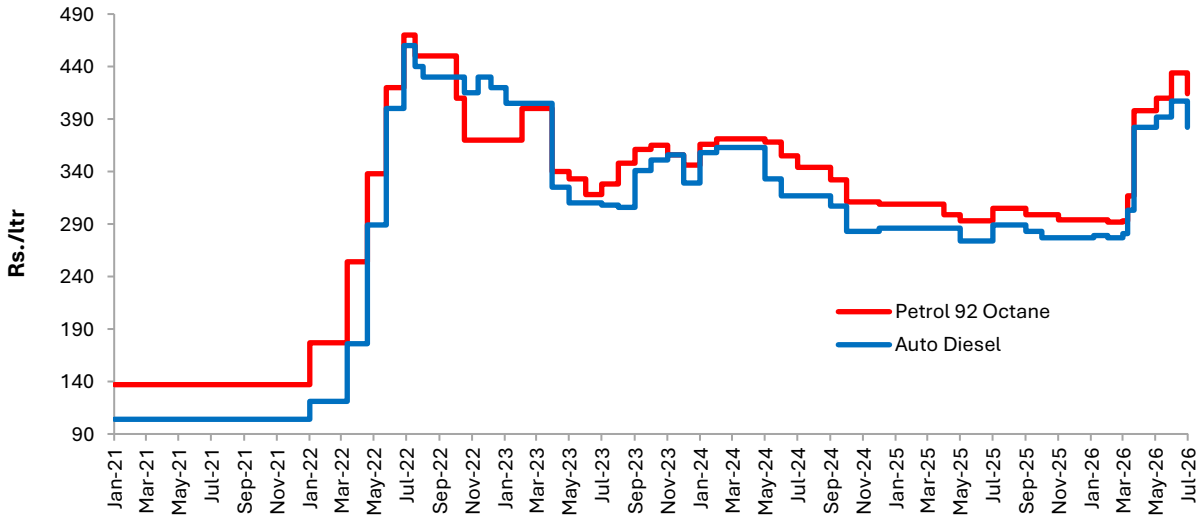
Figure 10: Contribution to y-o-y Headline Inflation (CCPI, 2021=100)



Note: Services-specific components are extracted from the overall (Headline) CPI baskets of goods and services (2021=100) using the Classification of Individual Consumption According to Purpose (COICOP) 2018

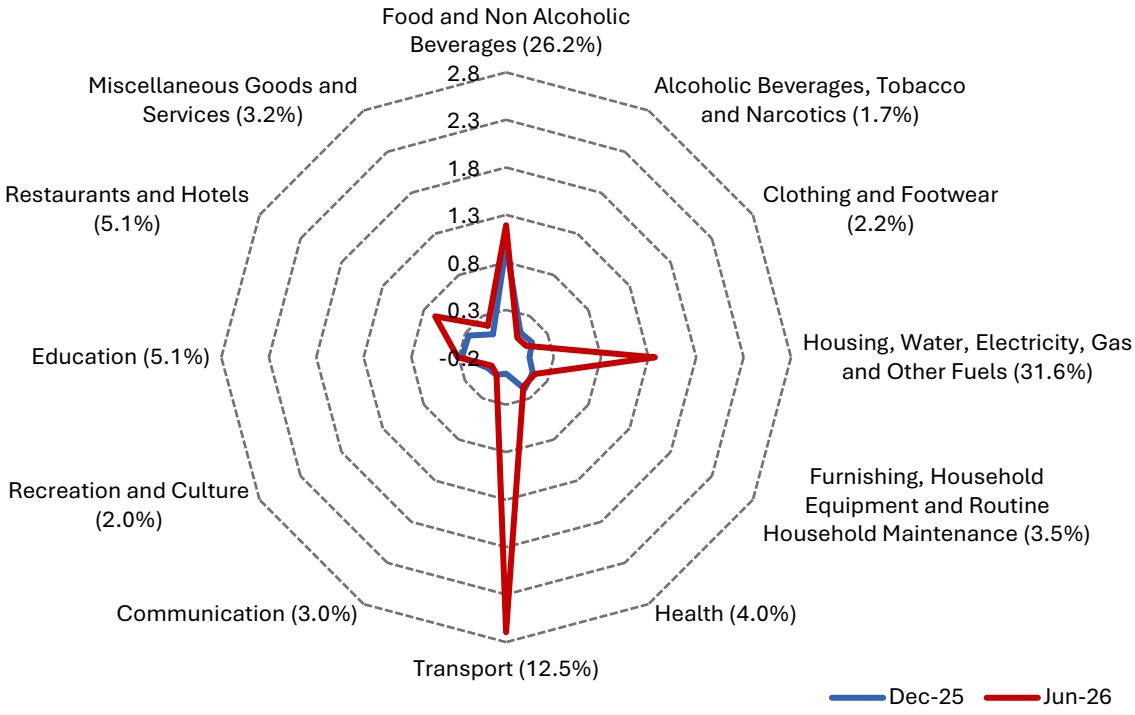
Source: Department of Census and Statistics
Central Bank Staff Calculations

Figure 11: Revisions to Domestic Prices of Petroleum Products of Ceylon Petroleum Corporation



Source: Ceylon Petroleum Corporation

Figure 12: Subcategory-wise Contribution to y-o-y Headline Inflation (CCPI, % points)

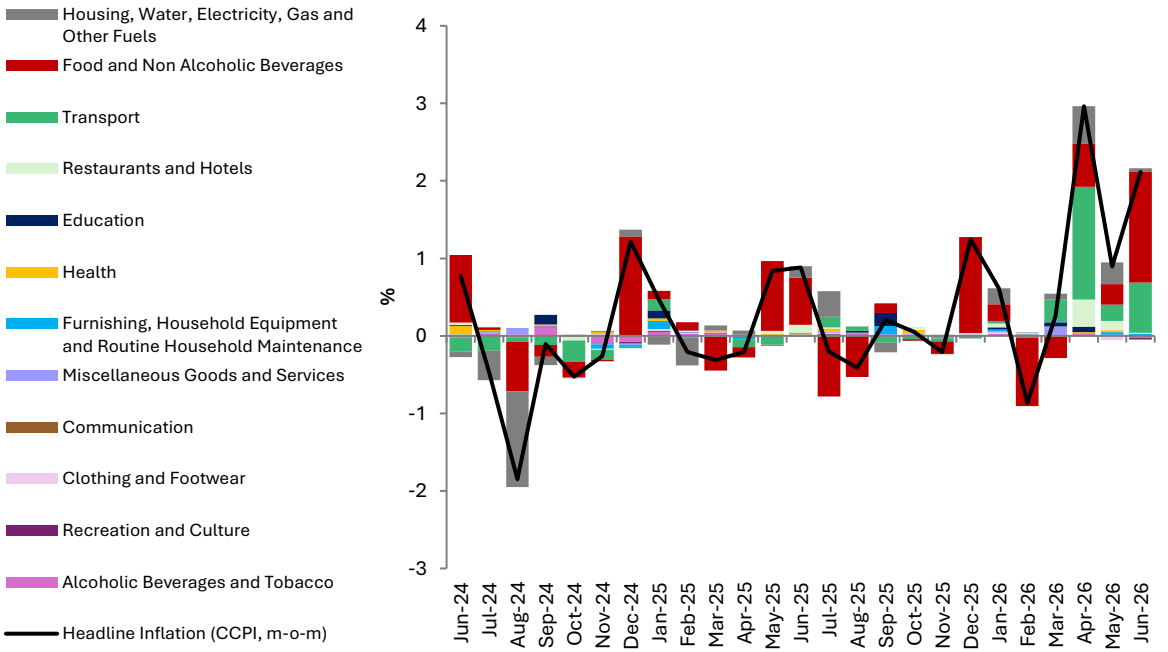


Note: Weights of subcategories in the CCPI basket are given in parentheses. To reflect developments since the publication of the February 2026 MPR, the latest available data for June 2026 are compared with those reported in December 2025.

Sources: Department of Census and Statistics
Central Bank of Sri Lanka

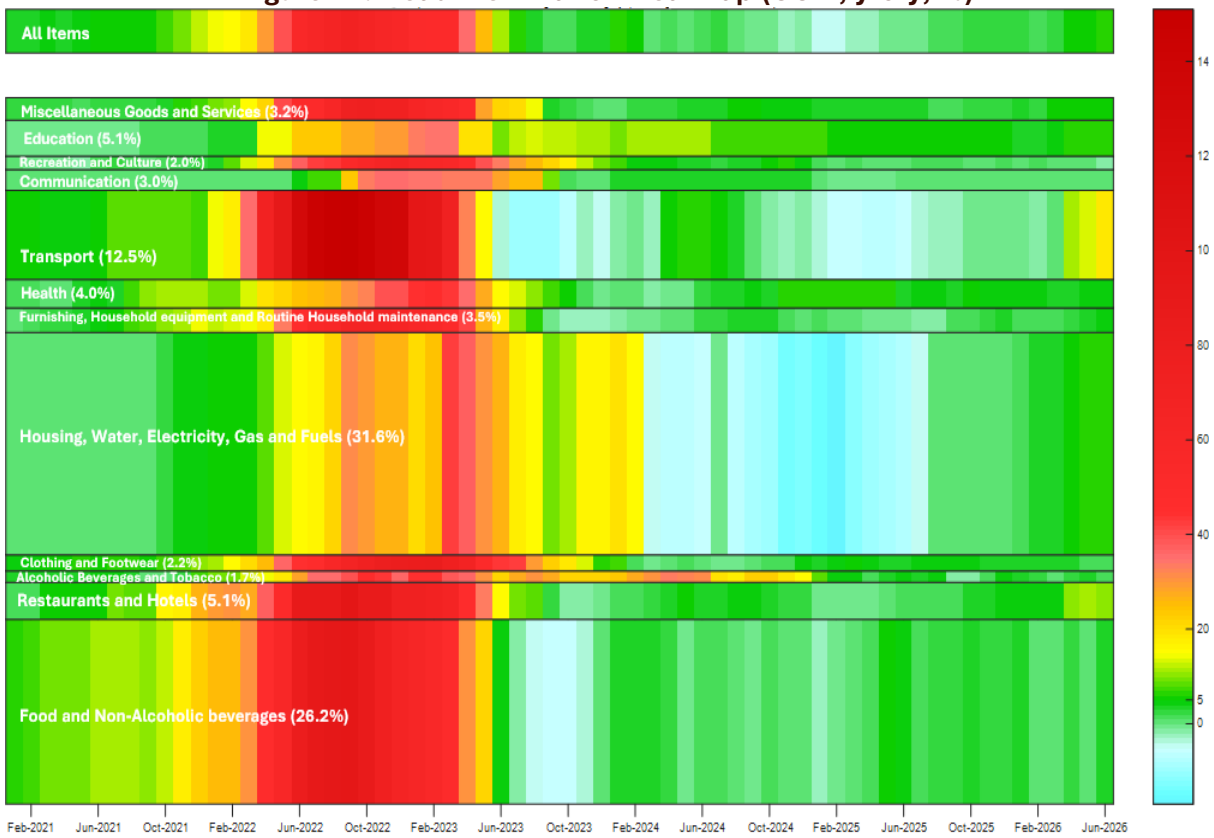
On a month-on-month (m-o-m) basis, CCPI-based headline inflation increased by 0.6% in January 2026, reflecting food supply constraints following cyclone *Ditwah*, and the increases in non-food prices led by higher housing rent. However, in February 2026, m-o-m headline inflation turned negative, mainly due to the normalisation of food supply disruptions caused by cyclone *Ditwah*, together with the receipt of the Maha harvest. Although food prices declined with the arrival of the harvest, m-o-m headline inflation increased by 0.3% in March 2026 due to price increases in the non-food category, particularly in domestic prices of fuel and LP Gas. The upward revision to electricity tariffs implemented in early April 2026, along with continued domestic price adjustments to fuel and LP Gas, and the increase in food prices, led to an increase in m-o-m headline inflation to 3.0% in April, the highest level recorded in recent months. Thereafter, m-o-m headline inflation remained positive through June 2026, driven by both food and non-food categories. The increase in m-o-m headline inflation by 2.1% in June 2026 was largely driven by a sharp increase in food prices, particularly fresh fish and vegetables.

Figure 13: Contribution to m-o-m Headline Inflation (CCPI, 2021=100)



Source: Department of Census and Statistics

Figure 14: Headline Inflation Heatmap (CCPI, y-o-y, %)



Note: Data preceding January 2023 are based on the CCPI (2013=100), while data commencing January 2023 are based on the CCPI (2021=100). Base weights are given in parentheses, based on the CCPI (2021=100). Category-wise y-o-y Headline Inflation (published). The height in each subcategory represents the relative base weight of the category (excluding in the case of All items).

Source: Department of Census and Statistics

CCPI-based core inflation (y-o-y), which captures underlying inflation trends in the economy, accelerated gradually during H1-2026, except for a marginal decline in February 2026, reaching 4.0% in June 2026. The sharp acceleration in headline inflation observed since April 2026 was not fully reflected in core inflation, as such behaviour was largely driven by energy and volatile food-related price increases, which are excluded from the core inflation basket. However, some indirect effects of upward adjustments to domestic energy prices on core inflation were evident. Similarly, NCPI-based core inflation (y-o-y) also continued its upward trajectory during H1-2026, increasing from 2.2% in January 2026 to 5.0% in June 2026.

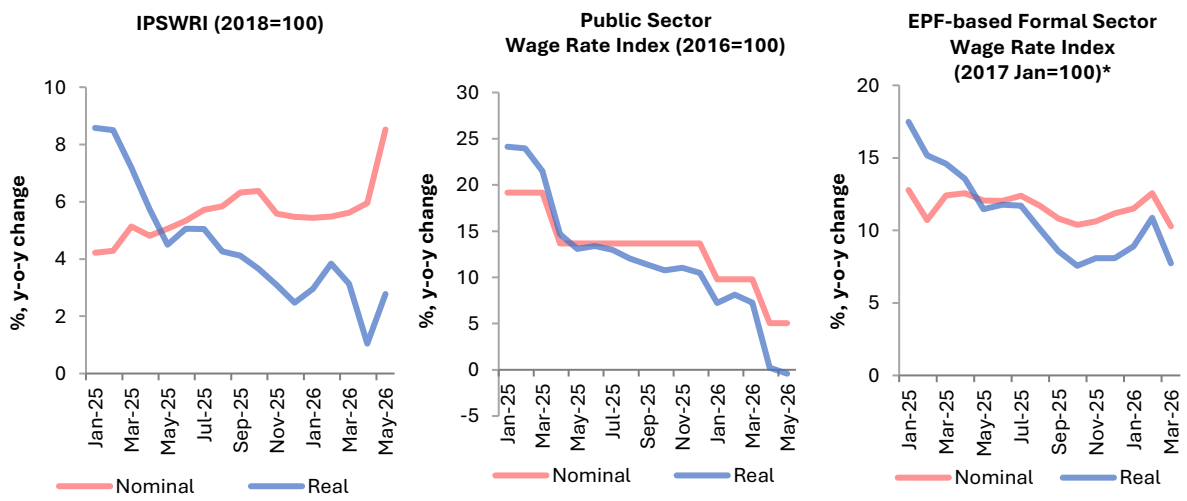
Latest available wage indicators reveal that real wage growth moderated across the private and public sectors as inflation accelerated from March 2026.

The y-o-y growth in the real Informal Private Sector Wage Rate Index (IPSWRI) moderated from 3.0% in January to 1.0% in April, before recovering to 2.8% in May 2026. Nevertheless, real wage growth remained modest compared to the level observed at the beginning of the year, as accelerating consumer price inflation continued to weigh on purchasing power.

As per the Public Sector Wage Rate Index, the y-o-y real wage growth increased marginally from 7.2% in January to 7.3% in March, before declining sharply to 0.2% in April 2026. Real wage growth subsequently turned negative, recording a marginal contraction of 0.4% in May, indicating an erosion of purchasing power.

The Employees Provident Fund (EPF)-based Formal Private Sector Wage Rate Index recorded relatively strong real wage growth during the period for which data are available. Based on provisional EPF contribution data, which cover only e-contribution records for the latest months, y-o-y real wage growth moderated from 8.9% in January to 7.7% in March 2026.

Figure 15: Movements in the IPSWRI (2018=100), Public Sector Wage Rate Index (2016=100) and EPF-Based Formal Sector Wage Rate Index (2017 Jan=100)



*Index values from January to March 2026 are provisional
Source: Central Bank of Sri Lanka

3.2. Real Sector

The Sri Lankan economy continued to expand in Q1-2026, sustaining the positive growth momentum observed in 2025.

According to the GDP estimates published by the DCS, the economy expanded by 5.1% (y-o-y) in Q1-2026, up from 4.7% in the corresponding quarter of 2025. This expansion was supported by positive contributions from all three major economic sectors. Growth in Agricultural activities was mainly driven by oleaginous fruits (coconut, king coconut, and oil palm), forestry and logging and the cultivation of vegetables. The expansion of Industry activities was largely supported by growth in construction, the manufacture of food, beverages and tobacco products, and mining and quarrying activities. Moreover, growth in Services activities was mainly attributable to the expansion in financial services, transportation, and computer programming, consultancy, and related activities.

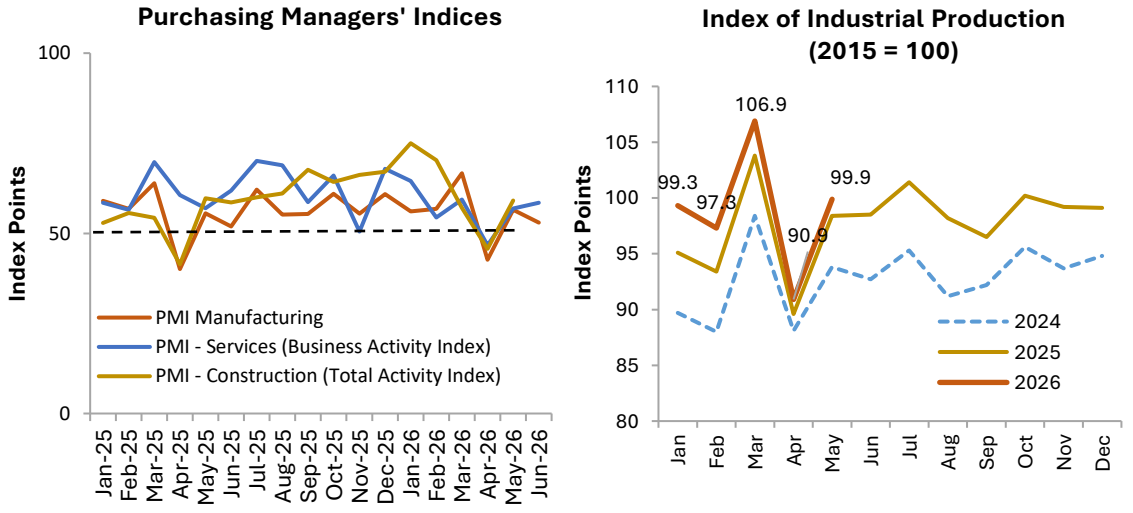
Table 01: Estimates of Real GDP Growth (y-o-y, %) (Provisional)

Economic Activity	2025					2026
	Q1	Q2	Q3	Q4	Annual	Q1
Agriculture	-1.3	2.5	2.2	2.1	1.4	1.1
Industry	9.8	5.7	7.9	7.3	7.8	7.2
Services	2.7	4.0	3.6	3.1	3.3	3.4
GDP	**4.7**	**5.0**	**5.3**	**4.8**	**5.0**	**5.1**

Source: Department of Census and Statistics

Available leading indicators for Q2-2026 suggest that the economy continued to expand, supported by positive contributions from all three major economic sectors, despite the challenges posed by the war in the Middle East. The Index of Industrial Production (IIP) recorded positive y-o-y growth, albeit at a slower pace, during April-May 2026 compared to the corresponding period of 2025. Reflecting improvements in economic activity, the Purchasing Managers' Indices (PMIs) for Manufacturing, Services, and Construction rebounded after the seasonal decline observed in April. However, tourist arrivals declined in Q2-2026, indicating a moderation in the recent growth momentum of the tourism sector. Furthermore, available indicators for the agriculture sector suggest a mixed performance across agricultural activities.

Figure 16: Movements in Purchasing Managers' Indices and Index of Industrial Production



Sources: Central Bank of Sri Lanka
Department of Census and Statistics

On the expenditure front, domestic demand at constant prices remained the main driver of economic activity, supported by both consumption and investment in Q1-2026. The increase in

consumption was mainly attributable to growth in private consumption, while higher gross fixed capital formation supported the expansion in investment. However, net external demand contracted further, as imports of goods and services grew faster than exports in Q1-2026. Both consumption and investment are expected to have continued supporting economic activity in Q2-2026, although net external demand is likely to have remained negative.

Table 02: Aggregate Demand (Provisional)

Item	Constant (2015) Prices					
	2025		2025 Q1		2026 Q1	
	Rs. bn	y-o-y %	Rs. bn	y-o-y %	Rs. bn	y-o-y %
Domestic Demand	13,453	6.4	3,501	6.2	3,827	9.3
Consumption	10,134	5.3	2,375	2.8	2,514	5.9
Investment (Gross Capital Formation)	3,319	9.8	1,127	14.2	1,312	16.5
Net External Demand	(325)	(138.4)	(25)	(209.8)	(174)	(607.4)
+ Exports of Goods and Services	3,157	5.1	822	5.9	841	2.3
- Imports of Goods and Services	3,481	10.8	846	12.3	1,015	19.9
GDP	**13,129**	**5.0**	**3,477**	**4.7**	**3,653**	**5.1**

Source: Department of Census and Statistics

3.3. Monetary Sector

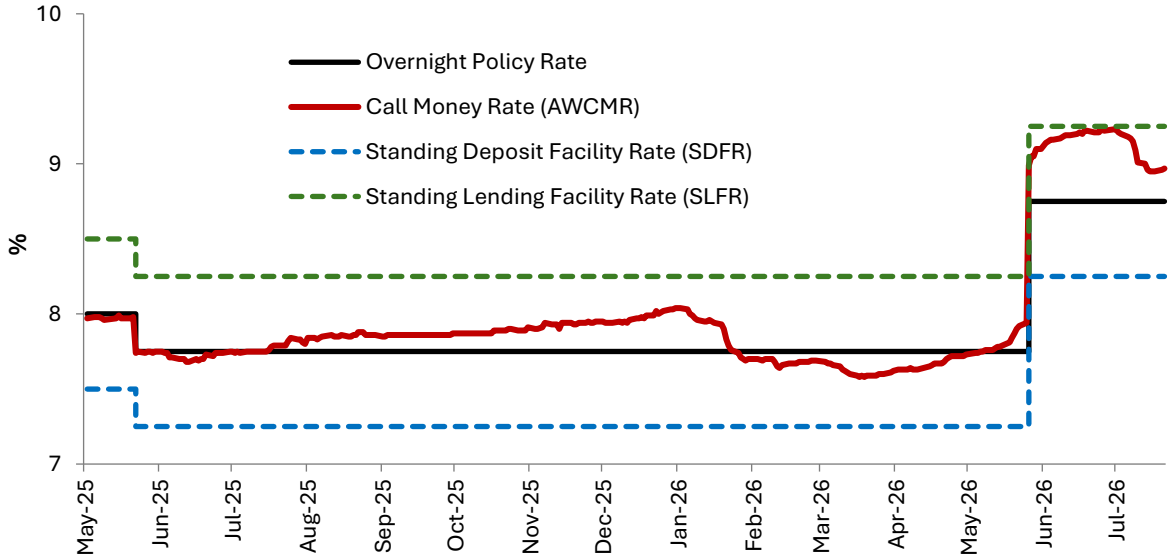
Interest Rates

Market interest rates and government securities yields, which were on a rising trend in early 2026, continued to increase following the monetary policy tightening in May 2026, reflecting the pass-through of the policy rate hike.

The AWCMR, which remained broadly aligned with the OPR in early 2026, declined below the OPR as surplus liquidity increased, reflecting liquidity injections arising from foreign exchange purchases by the Central Bank. Thereafter, reflecting evolving global and domestic conditions, the Central Bank allowed AWCMR to deviate temporarily above the OPR, particularly following the policy rate increase in May 2026. Accordingly, AWCMR peaked at 9.23% by the end of June 2026, before gradually declining alongside improvements in overall market liquidity. As of 21 July 2026, AWCMR stood at 8.97%, 22 basis points (bps) above the OPR.

In line with the upward adjustment observed in AWCMR, the Average Weighted Repo Rate (AWRR) also rose to levels close to the Standing Lending Facility Rate (SLFR) since the end of May 2026. However, with the improvement in overall surplus liquidity levels in the domestic money market, the AWRR moderated to 9.00% as of 21 July 2026.

Figure 17: Movements in the OPR and AWCMR



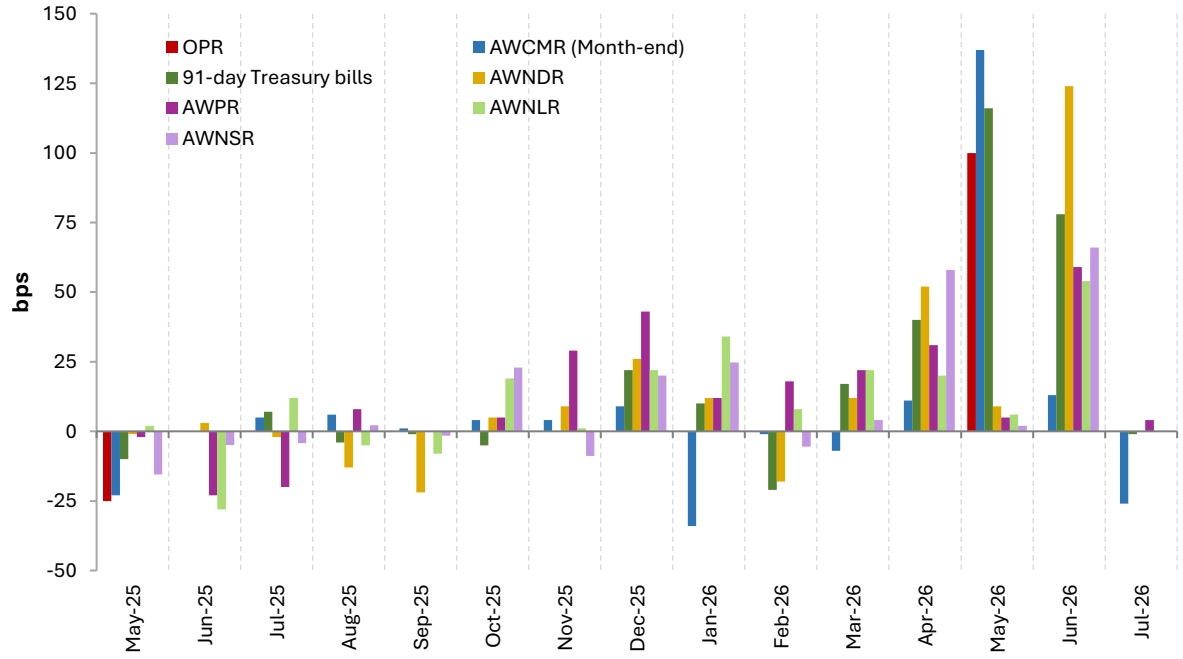
Source: Central Bank of Sri Lanka

The weekly Average Weighted Prime Lending Rate (AWPR), which reflects the rates charged by Licensed Commercial Banks (LCBs) to their prime customers for short-term lending, displayed intermittent fluctuations during the early part of 2026, while maintaining a broad upward trend. This upward trend has continued and became more pronounced from the end of May 2026 onwards. Accordingly, the monthly AWPR continued to increase thus far in 2026, recording a year-to-date (YTD) increase of 147 bps by the end of June,[10] of which an increase of 59 bps was recorded following the policy rate tightening.

Following mixed movements during the early months of 2026, market interest rates began to increase gradually, with the adjustment becoming more pronounced after the policy rate hike in late May 2026. Interest rate data for June 2026 indicate an ongoing pass-through of the policy rate increase to both lending and deposit interest rates, while the larger increase in deposit rates, compared with previous policy tightening cycles, is likely attributable to the lower liquidity levels among domestic LCBs in June 2026, amid stronger credit demand.

[10] The monthly AWPR increased to 10.50% by the end of July 2026, recording a YTD increase of 163 bps.

Figure 18: Monthly Change in Market Interest Rates and Adjustments in the Policy Interest Rate



Note: All monthly rates are as of June 2026, and data points on AWCMR, AWPR and the 91-day Treasury bill yield were given as of 21 July 2026.

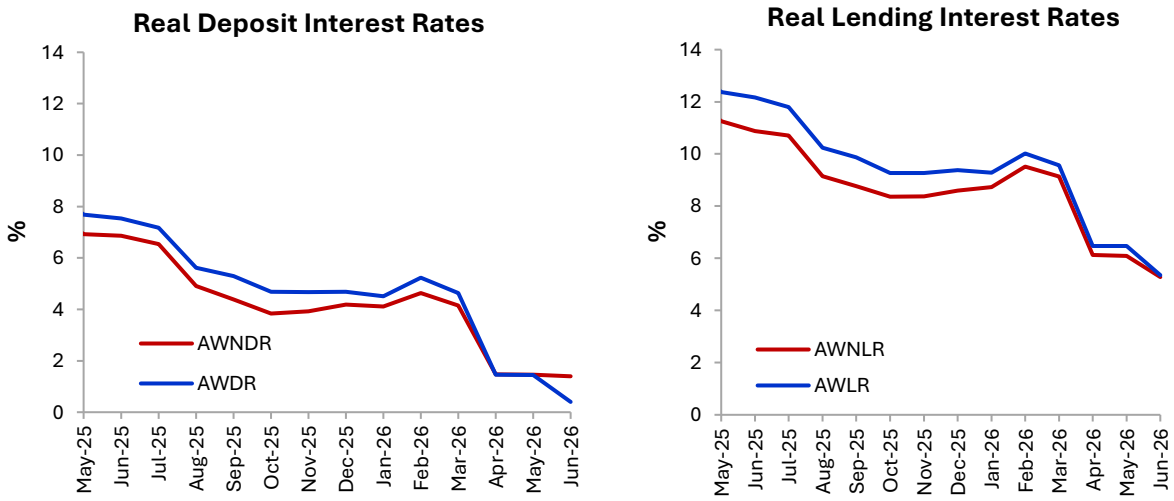
Sources: Central Bank of Sri Lanka
Public Debt Management Office

Yields on government securities, which moderated following the spike in early January 2026, have remained under upward pressure since late March 2026, caused mainly by the risks of expected inflation and increased uncertainty. Following the policy rate increase in May 2026, yields across all Treasury bill maturities increased sharply, reflecting a significant degree of over-pass-through to government securities during the initial transmission phase. However, a gradual moderation in Treasury bill yields was observed thereafter with an improvement in investor confidence. Treasury bond yields in the primary market also responded to the policy rate adjustment with an initial increase but have shown some moderation in recent auctions similar to Treasury bills. Furthermore, investor demand has been relatively strong for shorter-term maturities than for longer-term maturities in recent auctions. This preference has also been reflected in developments in the secondary market of government securities. Accordingly, following the monetary policy tightening, the secondary market yield curve shifted upwards, but compared to the shorter end of the curve, the longer end has remained relatively flat.

With the gradual increase in inflation, real interest rates have declined thus far in 2026. The decline in real lending rates implies less restrictive monetary conditions, which could support credit demand. However, this effect is likely to be partly offset by the anticipated increase in

nominal lending rates over the coming months as the policy rate hike is transmitted to market lending rates, thereby moderating credit growth.

Figure 19: Ex-Post Real Interest Rates



Note: The monthly real interest rate is derived by adjusting the nominal interest rate for the y-o-y headline inflation rate (CCPI-based).

Source: Central Bank of Sri Lanka

Domestic Money Market Liquidity[11]

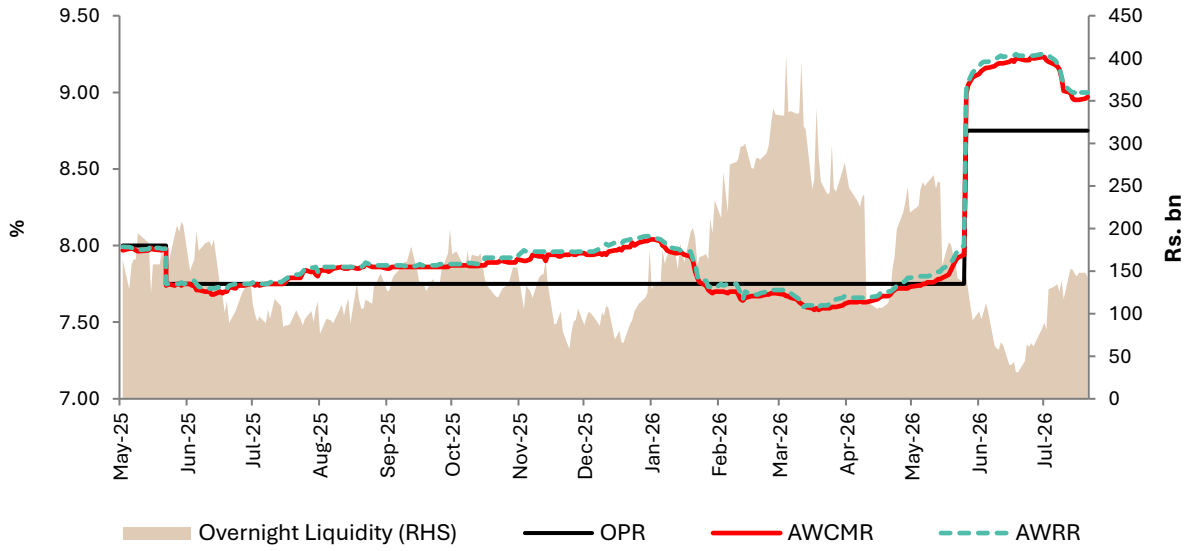
The surplus liquidity in the domestic money market remained volatile thus far in 2026, declining notably in Q2 before recovering thereafter.

The average surplus liquidity in the domestic money market increased to around Rs. 251 bn in Q1-2026, from around Rs. 120 bn in Q4-2025, largely reflecting the liquidity injections stemming from the Central Bank's net foreign exchange purchases and foreign exchange buy-sell swap transactions. In response to the increasing surplus liquidity in the domestic money market and the consequent downward adjustment of AWCMR, the Central Bank commenced liquidity-absorbing Open Market Operations (OMOs) from mid-February 2026. Thereafter, surplus liquidity gradually moderated during the period from April to June 2026. The decline in overall surplus liquidity since April 2026 was mainly attributable to net foreign debt service payments of the Government through official reserves, net sales of foreign exchange in the domestic foreign exchange market, and coupon payments to the Central Bank on account of its holdings of Treasury bonds. Accordingly, the average liquidity surplus declined to around Rs. 66 bn in June, compared to the monthly average surplus of Rs. 301 bn in March 2026. Following a sharp

[11] Further details on domestic money market liquidity conditions and the Central Bank's money market operations are available in the Market Operations Report – June 2026.
https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/publications/market_operations_report_june_2026_e.pdf

decline in surplus liquidity in April, liquidity-absorbing OMOs were temporarily discontinued but resumed in late April, helping to manage excess liquidity and mitigate pressures in the domestic foreign exchange market. However, the surplus liquidity level increased since early July 2026 due to foreign exchange purchases by the Central Bank. Accordingly, as of 21 July 2026, the liquidity surplus stood at Rs. 142 bn.

Figure 20: Behaviour of Overnight Liquidity, OPR, AWCMR and AWRR



Source: Central Bank of Sri Lanka

Domestic Credit Conditions and Money Supply

Broad money (M_{2b}) growth strengthened gradually so far in 2026, driven mainly by the notable expansion in private sector credit.

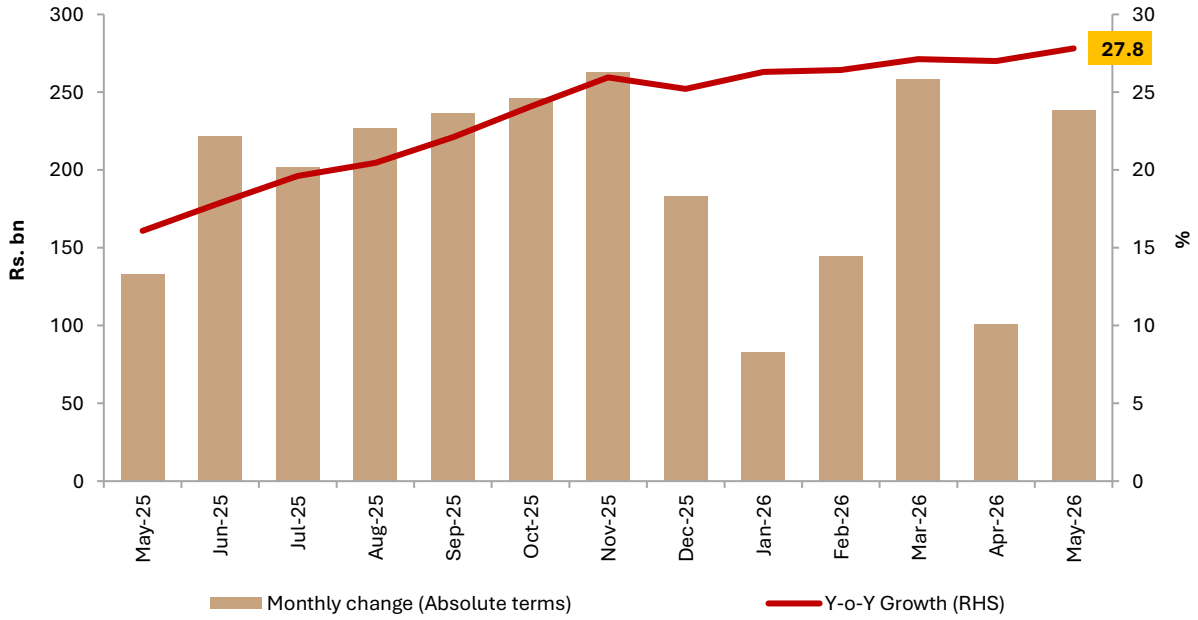
Supported by the continued recovery in economic activity and increased demand for financing for vehicles following the relaxation of import restrictions, private sector credit continued to expand in 2026. Meanwhile, the contraction in credit to the public sector continued to create additional space for the expansion of credit to the private sector. Accordingly, the cumulative nominal expansion in private sector credit granted by LCBs amounted to Rs 824.1 bn during the first five months of 2026, reflecting a robust y-o-y growth of 27.8%[12] as of end May 2026. Moreover, the depreciation of the Sri Lanka rupee against the USD contributed to the expansion in credit aggregates through valuation effects on foreign-currency-denominated loan assets.

[12] The cumulative nominal expansion in private sector credit granted by LCBs during H1-2026 amounted to Rs. 1,069.4 bn, reflecting a y-o-y growth of 27.4% as of end June 2026.

In terms of the sectoral composition of private sector credit, loans extended in the form of Personal Loans and Advances continued to account for the largest share of the expansion during January-May 2026. Within this category, significant increases were recorded in gold-backed lending/pawning and consumer durables. The expansion in gold-backed lending was likely supported by the increase in global gold prices in Q1-2026. The Services sector recorded the second-largest increase in private sector credit out of the overall expansion, supported by financial and business services, along with tourism. Meanwhile, credit extended to the Industry sector expanded mainly by lending to the construction, chemical, petroleum, pharmaceutical and healthcare; rubber and plastic products; and food and beverages subsectors.

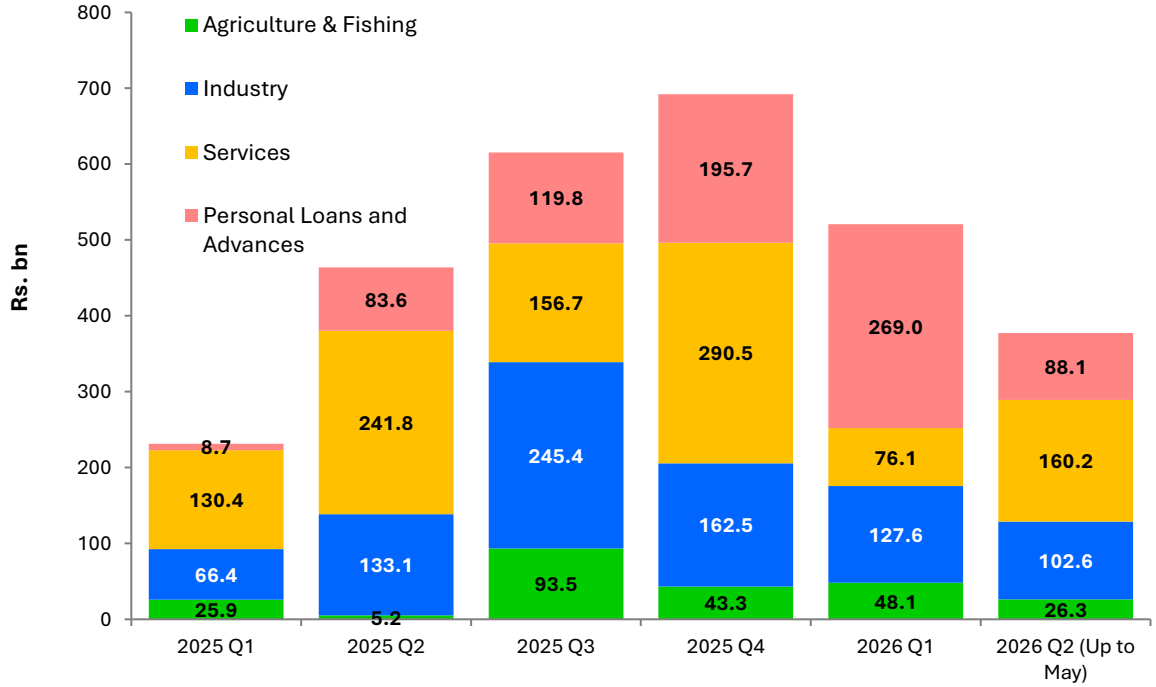
Although Personal Loans and Advances remained the primary driver of credit expansion during the first five months of 2026, lending to business-related sectors gained momentum more recently, supported by increased credit flows to the Services and Industry sectors. Meanwhile, credit extended to the Agriculture and Fishing sector recorded the lowest expansion during this period. Further, credit extended by Finance Companies (FCs) to the private sector recorded an expansion, mainly reflecting the increased financing for vehicles and gold-backed lending.

Figure 21: Monthly Change in Outstanding Credit to the Private Sector by LCBs



Source: Central Bank of Sri Lanka

Figure 22: Quarterly Change in Sectoral Credit to the Private Sector by LCBs



Note: Total credit to the private sector as per the Monthly Survey slightly differs from that in the Monetary Survey due to differences in the compilation methodologies

Source: Central Bank of Sri Lanka

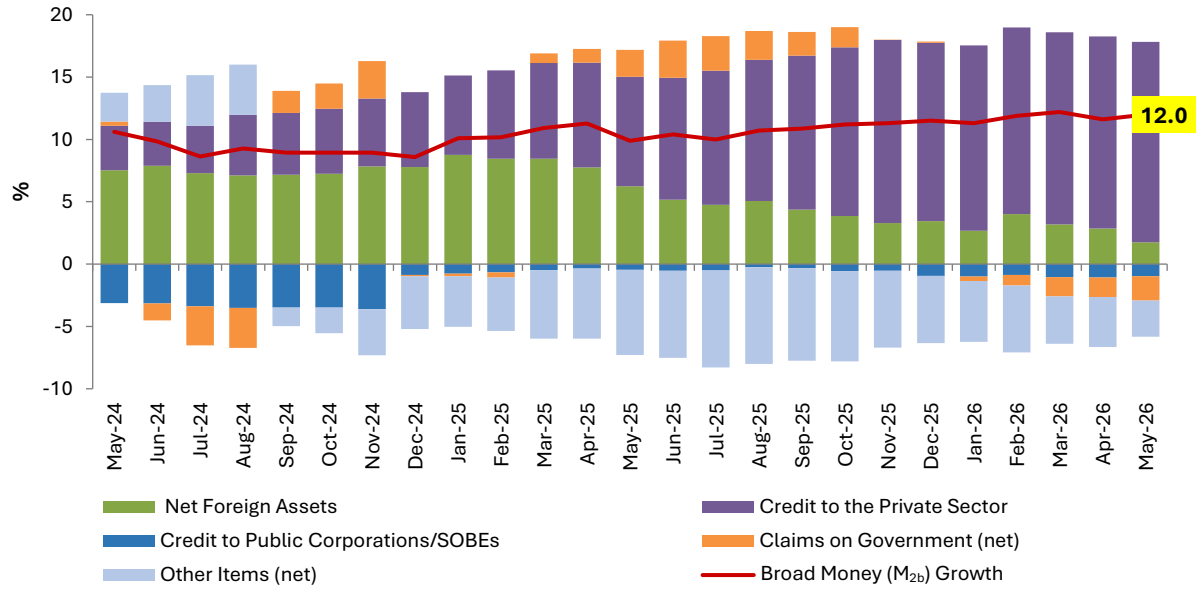
Net Credit to the Government (NCG) by the banking system declined during January-May 2026, due to a decrease in NCG by both LCBs and the Central Bank. The decline in NCG by LCBs was mainly attributable to a reduction in LCBs' holdings of government securities, although this was partly offset by a decline in government deposits during the period. The decline in NCG by the Central Bank was mainly due to the fair value adjustments to the Central Bank's holdings of government securities in the context of rising bond yields.

Meanwhile, credit granted to State-Owned Business Enterprises (SOBEs) by LCBs also contracted during the first five months of 2026, mainly on account of the net repayments by the State Pharmaceuticals Corporation of Sri Lanka, SriLankan Airlines Ltd., Road Development Authority, National Water Supply and Drainage Board and State Fertilizer Company Ltd.

Net foreign assets (NFA) of the banking system also increased on a year-to-date basis, despite some moderation observed towards mid-2026. NFA of the banking system expanded in the first five months of 2026, due to the expansions of both NFA of the Central Bank and LCBs. The expansion in NFA of LCBs was primarily driven by higher foreign currency placements, alongside an increase in loans extended to non-residents. Meanwhile, the expansion in the Central Bank's NFA mainly reflected net purchases of foreign exchange by the Central Bank from the domestic foreign exchange market.

In line with these developments, broad money (M_{2b}) recorded a y-o-y growth of 12.0% in May 2026, driven mainly by the significant expansion in private sector credit and the increase in NFA.

Figure 23: Contribution to y-o-y Growth of Broad Money (M_{2b})



Note: Other Items (net) includes all assets and liabilities that are not explicitly classified elsewhere when calculating standard money supply measures.

Source: Central Bank of Sri Lanka

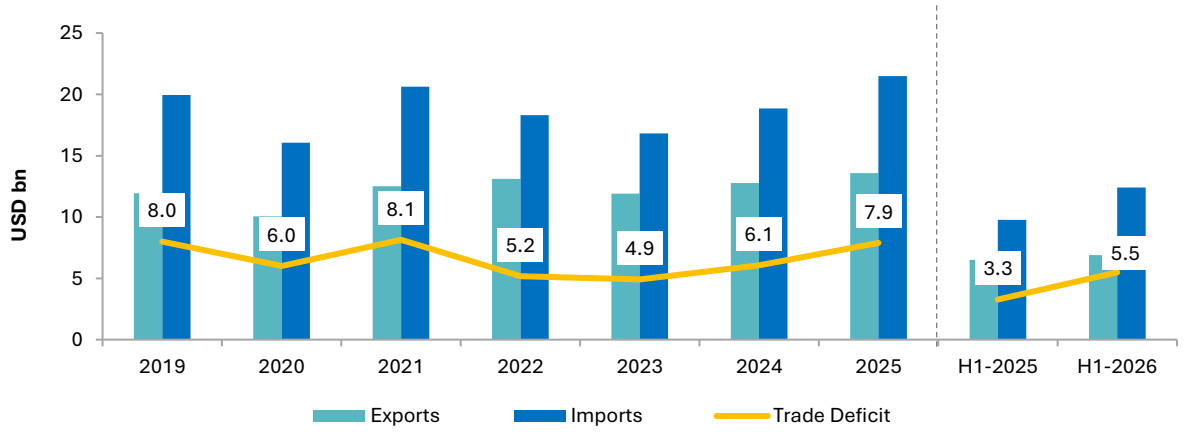
3.4. External Sector

The current account recorded a deficit during H1-2026, mainly reflecting the impact of the war in the Middle East on Sri Lanka's external sector. Inflows to the financial account remained subdued and the GOR moderated amid foreign debt service payments. The Sri Lanka rupee depreciated against the USD on a year-to-date basis, however, the pace of depreciation has moderated recently, with the rupee becoming less volatile following the recently implemented monetary, fiscal and macroprudential policy measures.

Balance of Payments

The current account recorded a deficit of USD 245 mn during H1-2026. This was primarily driven by the widening of the merchandise trade deficit, reflecting higher fuel and vehicle imports, alongside lower tourism earnings and higher services payments, despite the notable increase in workers' remittances. The merchandise trade deficit widened to USD 5.5 bn during H1-2026, as import expenditure increased more rapidly than export earnings. Import expenditure amounted to USD 12.4 bn, while export earnings totalled USD 6.9 bn during H1-2026.

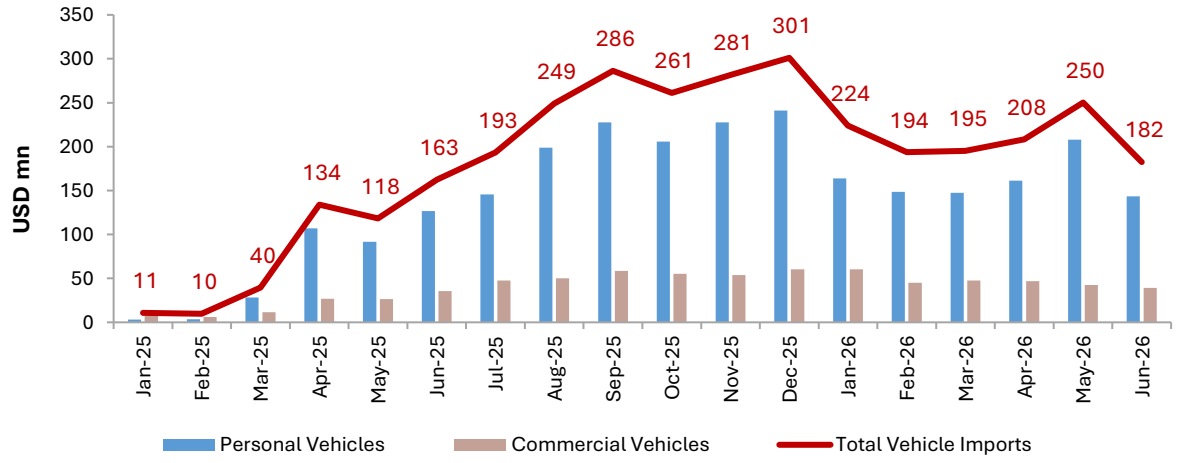
Figure 24: Merchandise Trade Account



Sources: Central Bank of Sri Lanka
Sri Lanka Customs

Contributing to around 25.6% of the total import bill, import expenditure on fuel increased by 58.8% (y-o-y) to USD 3.2 bn in H1-2026, reflecting the surge in global oil prices amid the war in the Middle East. Further, expenditure on vehicle imports, including both personal and commercial vehicles, amounted to USD 1.3 bn during H1-2026. In May 2026, the Government imposed a temporary 50% surcharge on the applicable Customs Import Duty for motor vehicles. As a macroprudential measure, the Central Bank also tightened the maximum loan-to-value (LTV) limits applicable to vehicle financing in May 2026. In addition, the policy rate increase in May 2026 is expected to increase financing costs. Collectively, these measures are expected to moderate vehicle import demand and thereby easing pressures on the external current account in the period ahead, as reflected in the decline in vehicle import expenditure observed in June 2026.

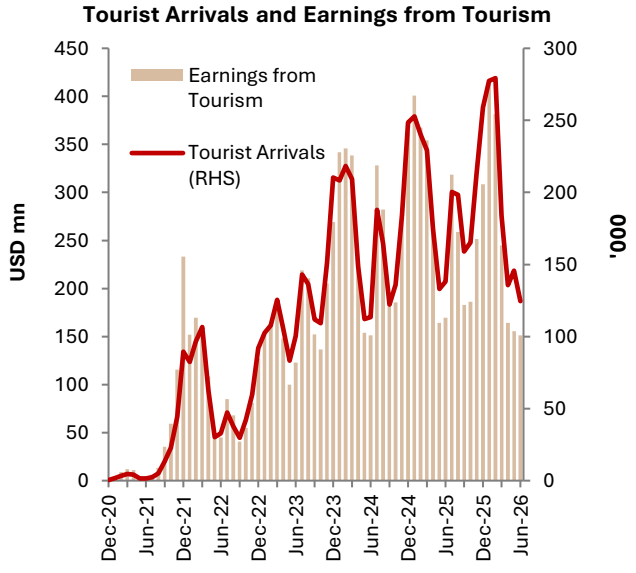
Figure 25: Monthly Vehicle Imports



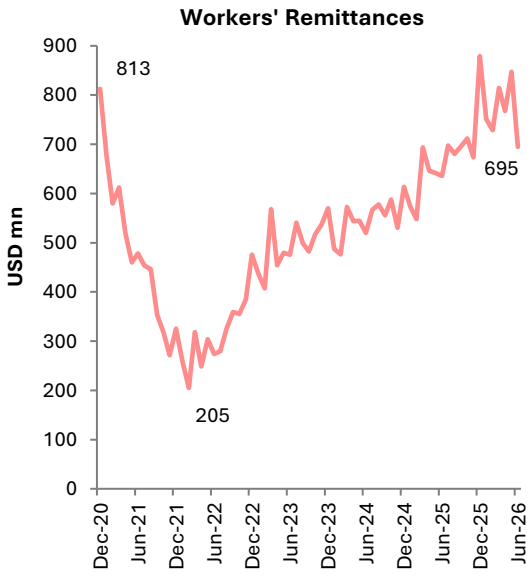
Sources: Central Bank of Sri Lanka
Sri Lanka Customs

Earnings from tourism[13] declined by 11.8% (y-o-y) to USD 1.5 bn during H1-2026, reflecting mainly the decline in tourist arrivals amid the ongoing war in the Middle East. In contrast, workers' remittances recorded robust growth, increasing by 23.2% (y-o-y) to USD 4.6 bn[14] by June 2026.

Figure 26: Tourism and Workers' Remittances



Sources: Central Bank of Sri Lanka
Sri Lanka Tourism Development Authority

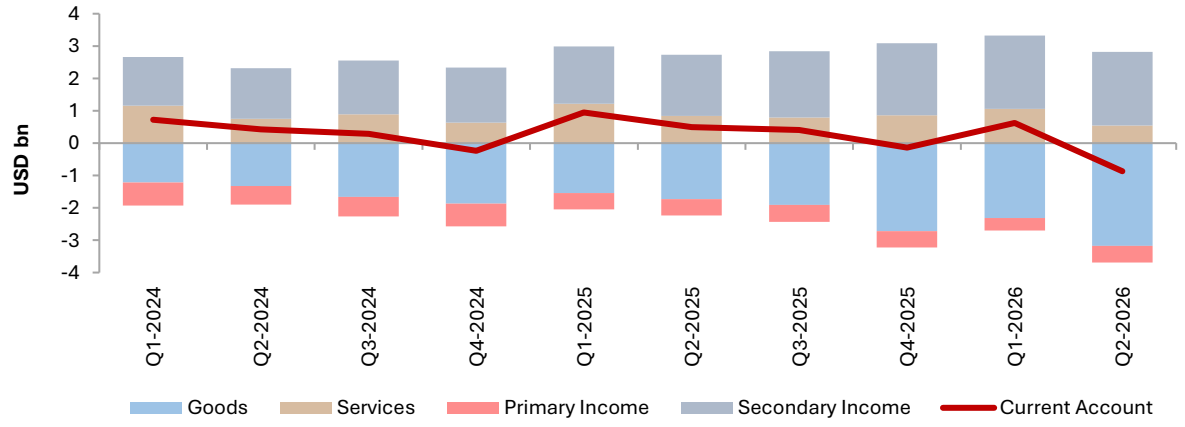


Sources: Central Bank of Sri Lanka
Licensed Banks

[13] The Sri Lanka Tourism Development Authority (SLTDA) revised the methodology for estimating tourism earnings in May 2026 to improve the accuracy and representativeness of monthly estimates, applying the revised approach retrospectively from January 2026.

[14] Workers' remittances may include other remittances, such as those received following Cyclone Ditwah.

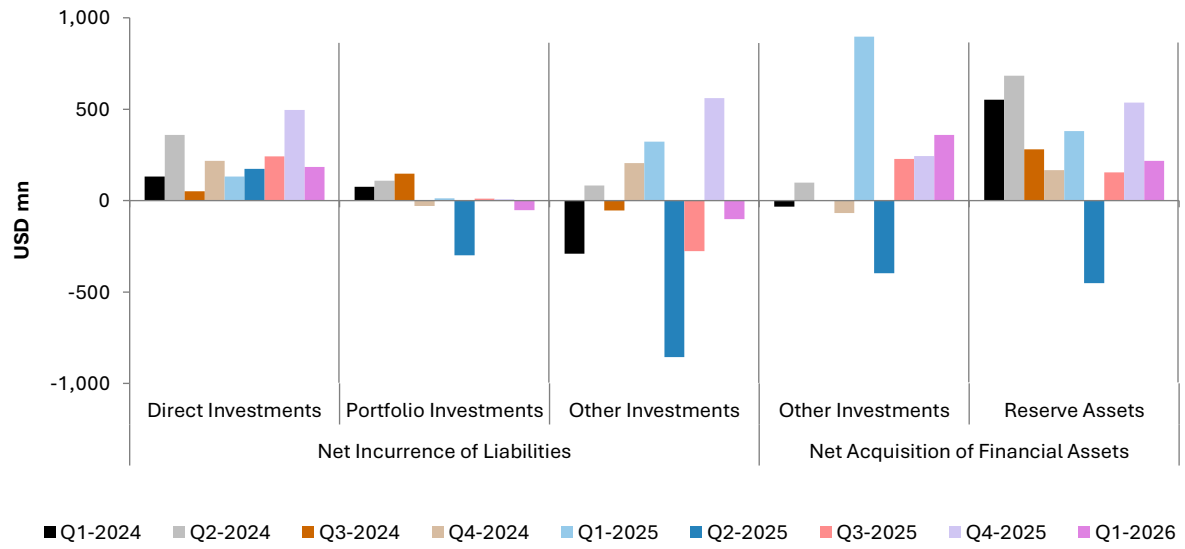
Figure 27: External Current Account



Source: Central Bank of Sri Lanka

The performance of the financial account remained subdued so far during the year. Foreign Direct Investment (FDI) inflows, including foreign loans to direct investment enterprises (DIEs) in Q1-2026, showed an improvement compared to the corresponding period in the previous year, but remained modest overall. Meanwhile, foreign investments in both the government securities market, and the Colombo Stock Exchange (CSE) including primary and secondary market transactions, recorded net outflows during the period from January to June 2026. However, foreign investments in the government securities market recorded net inflows during the period from 01 July 2026 to 21 July 2026.

Figure 28: Financial Account

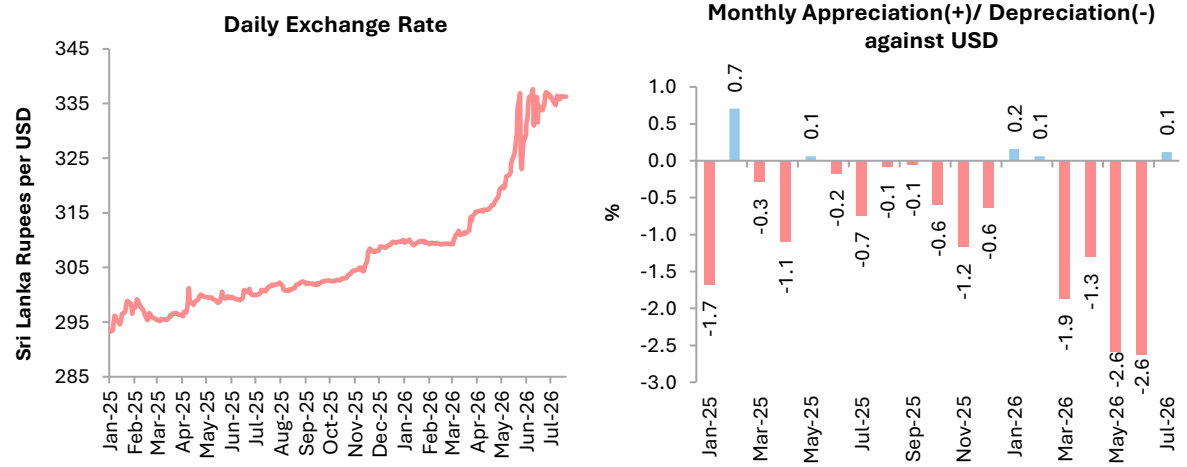


Source: Central Bank of Sri Lanka

Exchange Rate

The Sri Lanka rupee, which recorded monthly appreciations against the USD in the first two months of the year, faced considerable depreciation pressures following the onset of the war in the Middle East. These pressures reflected higher import expenditure, particularly on fuel and motor vehicles, lower tourism earnings during March-June 2026, and foreign investment outflows from the government securities market and the CSE. In addition, heightened market uncertainty appears to have contributed to increased speculative activity, delayed conversion of export proceeds, and stronger demand for foreign exchange as some importers advanced import orders and increased foreign exchange purchases to manage perceived exchange rate risks. Accordingly, the Sri Lanka rupee depreciated by 7.8% against the USD as of 21 July 2026.[15] Despite the cumulative depreciation, following four consecutive months of monthly depreciation since March 2026, the Sri Lanka rupee recorded a marginal appreciation against the USD in July 2026 up to 21 July 2026, supported by recently implemented policy measures, including the tightening of the export proceeds conversion requirement. Reflecting cross-currency movements, the Sri Lanka rupee depreciated against other major currencies during the period. The Nominal Effective Exchange Rate (NEER) declined, while the Real Effective Exchange Rate (REER) increased during the period up to 21 July 2026, as the positive inflation differential between Sri Lanka and its trading partners more than offset the nominal depreciation of the Sri Lanka rupee.

Figure 29: Exchange Rate Movements*



* Figures are updated up to 21 July 2026

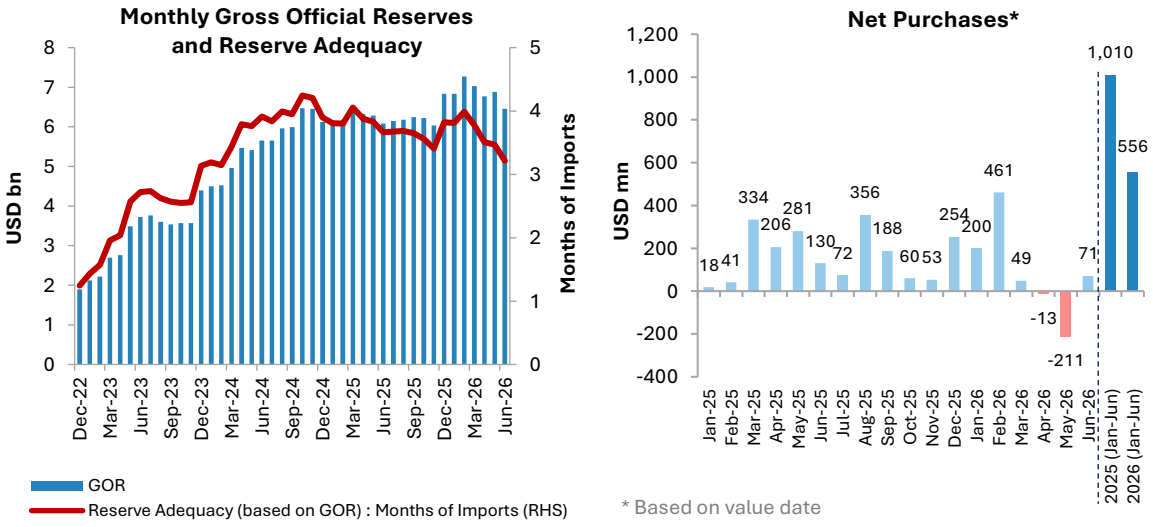
Source: Central Bank of Sri Lanka

[15] The Sri Lanka rupee depreciated by 7.4% against the USD as of 12 August 2026.

Reserve Assets

The GOR,[16] having risen to around USD 7.3 bn by end February 2026, moderated to around USD 6.5 bn by end June 2026 amid foreign currency debt service payments. The Central Bank purchased USD 556 mn (based on the value date), on a net basis, from the domestic foreign exchange market during H1-2026. Other major inflows to the GOR during this period included the receipt of two tranches under the Extended Fund Facility (EFF) from the International Monetary Fund (IMF), amounting to USD 695 mn.

Figure 30: Monthly Gross Official Reserves, Reserve Adequacy and Net Foreign Exchange Purchases



Note: GOR include the PBoC swap facility.

Source: Central Bank of Sri Lanka

3.5. Fiscal Sector

Fiscal sector performance continued to strengthen during the first five months of 2026, underpinned by sustained revenue-based fiscal consolidation measures, compared to the corresponding period of 2025.

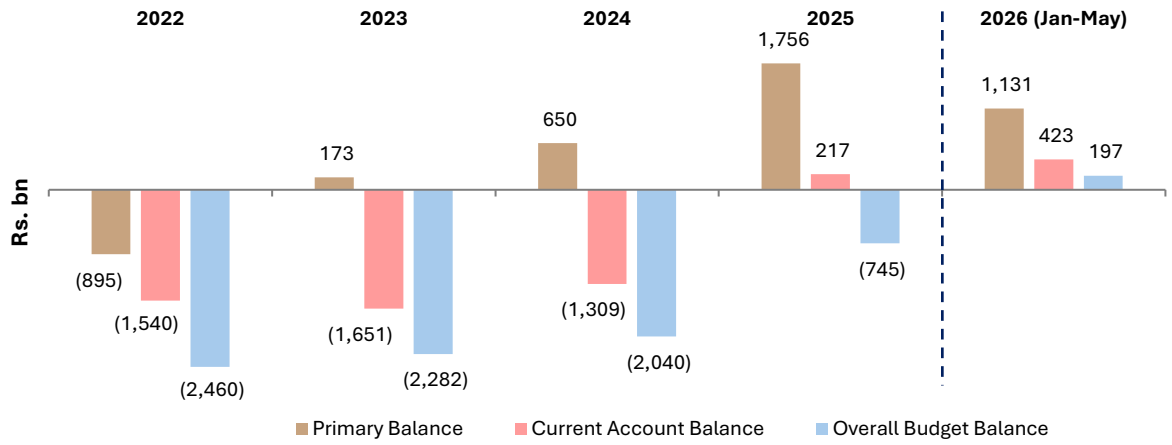
During the five months ending May 2026, the Government's total revenue and grants increased significantly by 30.6% compared to the corresponding period in 2025. Tax revenue, the primary source of government revenue, recorded a notable y-o-y growth of 28.9% during the first five months of 2026. The strong performance in tax revenue was mainly driven by higher collections from Value Added Tax (VAT), excise duties, customs import duties, and income taxes, reflecting

[16] This includes the swap facility from the People's Bank of China.

the impact of continued tax policy measures, improved tax administration, and the gradual recovery in economic activity. In particular, the notable increase in VAT, excise duty, and customs import duty collections were mainly driven by vehicle-related taxes, reflecting the higher-than-anticipated vehicle imports. Meanwhile, expenditure and net lending recorded a moderate y-o-y growth of 7.4% during the review period, primarily driven by higher expenditure on subsidies and transfers as well as from salaries and wages. Furthermore, capital expenditure and net lending recorded a 29% increase during the first five months of 2026 compared to the same period in 2025.

Accordingly, the primary balance recorded a notable surplus of Rs. 1,131.2 bn during this period. Overall budget balance recorded a surplus of Rs. 197.3 bn for the fourth consecutive month in May 2026, while the current account balance recorded a surplus, reaching Rs. 422.8 bn during the first five months of 2026.

Figure 31: Key Fiscal Balances



Source: Ministry of Finance, Planning and Economic Development

During the five months ending May 2026, net domestic financing recorded a net repayment of Rs. 197.3 bn compared to net domestic financing of Rs. 298.6 bn recorded in the corresponding period of 2025. Foreign financing recorded a net repayment of Rs. 0.1 bn during the first five months ending May 2026 compared to a net repayment of Rs. 62.0 bn recorded in the corresponding period of 2025. Meanwhile, the total public debt[17] increased to Rs. 32,233 bn by end March 2026 from Rs. 32,195 bn recorded as at end 2025.

[17] As per the Quarterly Statistical Debt Bulletin published by the Public Debt Management Office, Ministry of Finance, Planning and Economic Development

3.6. Financial Sector

The financial sector continued to demonstrate resilience amid emerging challenges from external and domestic conditions.

The banking sector continued to demonstrate resilience during H1-2026, supported by strong credit growth, improving asset quality, and stable profitability despite heightened global uncertainties. Total assets of the banking sector expanded during H1-2026, mainly due to the considerable increase in loans and receivables. Accordingly, total assets grew by 9.3% (y-o-y) to reach Rs. 26.0 tn at end June 2026. Furthermore, gross loans and receivables expanded by 23.6% (y-o-y) to Rs. 15.3 tn at end June 2026.

The overall default risk of the banking sector, as reflected by the Stage 3 loans ratio, declined to 9.0% at end H1-2026 from 12.0% recorded at end H1-2025, supported by strong credit growth and a decline in the outstanding stock of Stage 3 loans. The sector reported a Profit After Tax (PAT) of Rs. 200.6 bn in H1-2026, reflecting a y-o-y growth of 6.9%. However, profitability indicators, such as Return on Equity (ROE), Return on Assets (ROA), and Net Interest Margin (NIM) declined marginally in H1-2026 compared to H1-2025.

Liquidity of the banking sector, as measured by the Liquidity Coverage Ratios (LCRs), declined at end H1-2026 compared to the corresponding period of 2025, possibly reflecting the reallocation of assets qualifying for regulatory liquidity towards credit expansion, while liquidity levels remained well above the minimum regulatory requirement. Accordingly, the rupee LCR declined to 273.0% at end H1-2026 compared to 328.6% at end H1-2025, while the all-currency LCR declined to 230.0% at end H1-2026 from 283.1% at end H1-2025. Meanwhile, the Total Capital Adequacy Ratio (CAR) of the banking sector declined to 17.3% at end June 2026 from 19.4% the year before, due to the faster growth in Risk-Weighted Assets (RWA) relative to total regulatory capital, supported by accelerated credit growth.

FCs sector recorded a y-o-y expansion of 41.0% in its asset base at end H1-2026, mainly supported by the increase in loans and advances. Accordingly, gross loans and advances of the sector recorded a significant growth of 45.0% (y-o-y) at end H1-2026, driven by increased vehicle and gold-backed lending. Moreover, reflecting improved asset quality, the gross Stage 3 loans ratio of the sector declined to 5.1% at end H1-2026 compared to 8.3% at end H1-2025, mainly due to strong credit growth and a decline in the stock of Stage 3 loans. Furthermore, the FCs sector maintained its liquidity well above the minimum regulatory requirement at end H1-2026, recording a surplus in liquid assets of Rs. 100.5 bn. Meanwhile, the sector reported a PAT of

Rs. 21.0 bn for the first three months of the financial year 2026/27 (April – June 2026), recording a y-o-y growth of 16.4%. In terms of capital adequacy, the FCs sector CAR declined to 19.3% at end H1-2026 compared to 22.0% recorded at end H1-2025, mainly due to the faster growth in RWA (in relation to total regulatory capital) driven by the significant credit expansion.

Table 03: Key Financial Soundness Indicators of the Banking and FCs Sectors

Key Indicators (%)	as at end June 2025	as at end June 2026 (Provisional)
Banking Sector		
Gross Stage 3 Loans Ratio	12.0	9.0
Return on Assets	2.6	2.4
Return on Equity	18.5	16.9
Net Interest Margin	4.5	4.4
Capital Adequacy Ratio	19.4	17.3
Finance Companies Sector		
Gross Stage 3 Loans Ratio	8.3	5.1
Return on Assets	6.9	5.7
Return on Equity	15.2	15.6
Net Interest Margin	11.5	10.4
Capital Adequacy Ratio	22.0	19.3

Source: Central Bank of Sri Lanka

During H1-2026, the equity market remained subdued, with the All-Share Price Index (ASPI) recording a YTD decline of 1.6% while the Standard & Poor's Sri Lanka 20 (S&P SL20) index recorded a marginal gain of 0.8% during the same period on the CSE. This marked a significant moderation in the stock market performance from the strong annual gains of 41.9% and 26.6% of ASPI and SL20 indices, recorded in 2025.

The weaker market performance was mainly driven by heightened global uncertainties emanating from geopolitical tensions in the Middle East, which resulted in higher domestic energy prices, rising inflationary pressures, and the subsequent tightening of monetary policy. These developments weighed on investor sentiment and participation, with average daily turnover declining to Rs. 4,468.4 mn during H1-2026 compared to the annual average daily turnover of Rs. 5,179.2 mn in 2025.

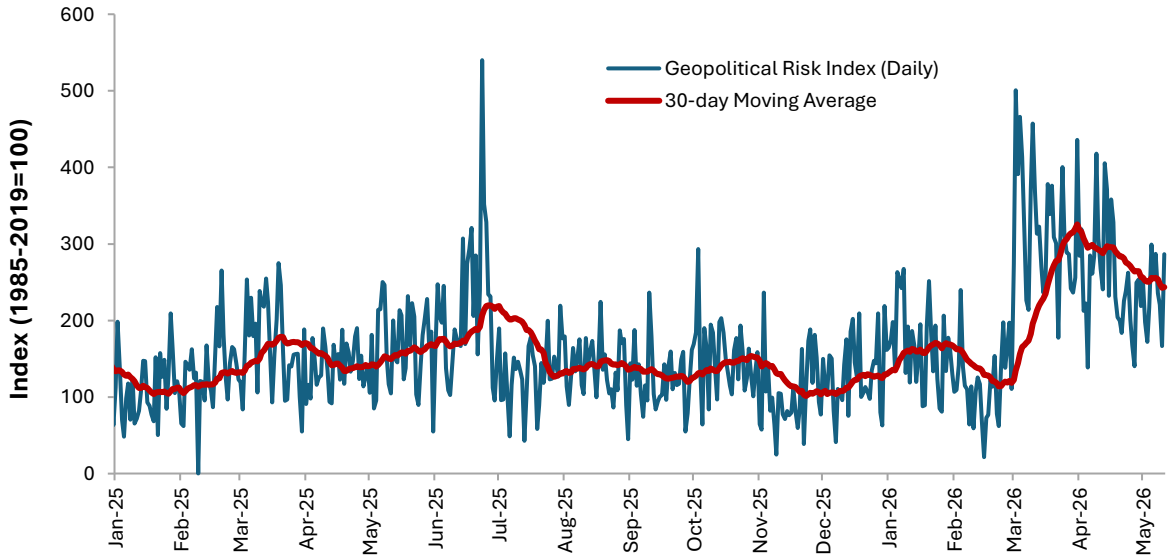
The continued foreign outflows reflected persistent risk aversion among international investors amid elevated global uncertainty and tighter global financial conditions.

3.7. Global Developments

Global growth is projected to remain subdued, largely reflecting the impact of the war in the Middle East, while global headline inflation is expected to increase during the year. Global monetary policy is leaning more towards a cautious stance, with several central banks adopting a hawkish stance.

As per the IMF World Economic Outlook published in July 2026, which was published before the re-escalation of the Middle East war in mid-July, global growth is projected to slow to 3.0% in 2026 and accelerate thereafter to 3.4% in 2027, down from the average of 3.5% observed in 2024/2025, although remaining broadly unchanged from the forecast in April 2026. The modest slowdown in global growth largely reflects the effects of the war in the Middle East, although it is expected to be partly offset by accelerated demand-driven momentum in the global technology cycle owing to advances in Artificial Intelligence (AI) and its adoption. Inflation and inflation expectations have risen, driven by surging energy prices.

Figure 32: Geopolitical Risk Index

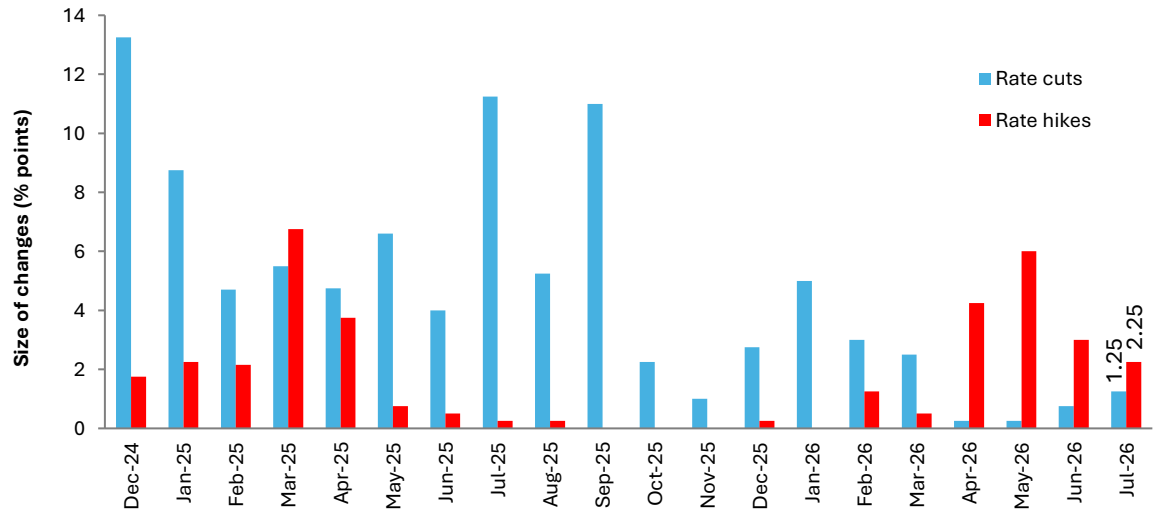


Source: https://www.matteoiacoviello.com

Monetary Policy Uncertainty Indices (MPUI), which show public, media, and market uncertainty regarding central bank actions, interest rates, and policy consequences, have reached their highest level in the historical record, indicating uncertainty surrounding the future path, timing, and effectiveness of monetary policy interventions. As such, global monetary policy is expected to be less accommodative, given visible inflationary pressures combined with a relatively muted slowdown in activity. Meanwhile, both policy uncertainty and geopolitical uncertainty are assumed to remain elevated through 2027.

The U.S. Federal Reserve (FED) has maintained the Federal Funds Rate at 3.50–3.75% thus far in 2026, following rate cuts in September, October, and December 2025. During its June 2026 monetary policy review, despite elevated inflation resulting from the recent increase in global energy prices, the FED decided to keep the Federal Funds Rate unchanged, citing solid expansion of economic activity. Following the three consecutive decisions to leave its key policy rates unchanged, the European Central Bank (ECB) raised its three key interest rates by 25 bps at its June 2026 monetary policy review. Accordingly, the ECB increased the deposit facility rate to 2.25%, citing inflationary pressures stemming from the war in the Middle East, while noting that the outlook remains uncertain, with upside risks to inflation and downside risks to economic growth. The ECB has further stated that the extent of these risks over the medium-term will depend largely on the intensity and duration of the energy price shock and the strength of its indirect and second-round effects. Following the reduction of the Bank Rate in December 2025, the Bank of England (BoE) maintained the Bank Rate at 3.75% during its June 2026 monetary policy review. The BoE noted that the war in the Middle East has heightened uncertainty surrounding global energy prices and increased the risk of second-round effects on prices and wages, particularly if elevated energy prices persist. They also noted that interest rates faced by households and businesses remain above pre-conflict levels, which is expected to exert downward pressure on inflation over time. Following the increase in the short-term policy interest rate by 25 bps to 0.75% in December 2025, the Bank of Japan (BoJ) raised the rate by a further 25 bps to 1.00% at its June 2026 monetary policy review, reaching its highest level in 31 years. With the latest policy rate hike, the BoJ has signalled its readiness to tighten monetary policy further as it focuses on taming price pressures from the Middle East war-induced energy shocks. Meanwhile, expectations of further monetary policy easing in emerging market economies moderated amid escalating geopolitical tensions. Emerging market central banks, including the Bangko Sentral ng Pilipinas, National Bank of Serbia, and South African Reserve Bank, increased their policy rates during recent monetary policy reviews, citing the heightened uncertainty stemming from the war in the Middle East and its inflationary impact on domestic prices.

Figure 33: Global Policy Rate Changes

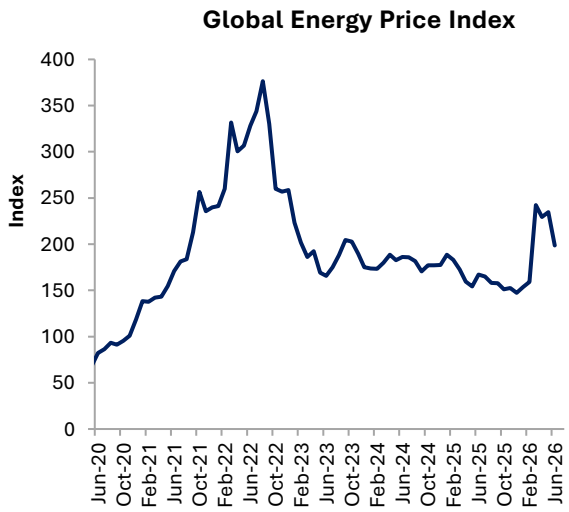


Note: Based on the data available as of 21 July 2026.

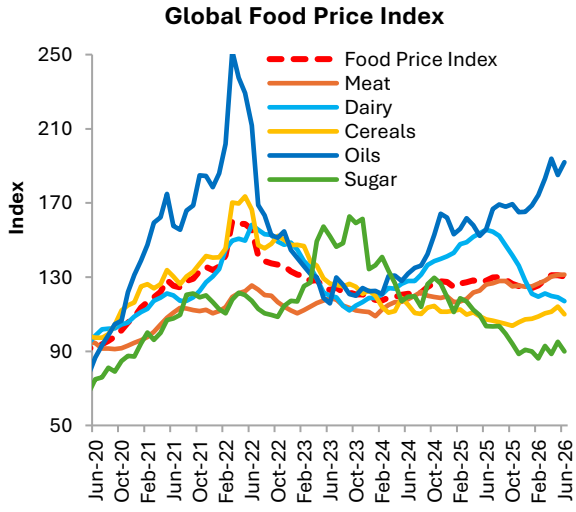
Source: https://www.cbrates.com

Global food and energy prices remain volatile at present compared to levels recorded in 2025 and early 2026. The current global petroleum price volatility is due to supply-side concerns emanating from the war in the Middle East. The Food and Agriculture Organisation (FAO) food price index averaged at 130.3 points in June 2026, increasing from 124.5 index points in December 2025 after reaching 131.0 index points in April 2026. The price indices of edible oils, meat and cereals increased whilst price indices for dairy and sugar declined in June 2026 compared to December 2025.

Figure 34: Movements of Global Energy Prices and FAO Food Prices



Source: fred.stlouisfed.org



Source: Food and Agriculture Organization (FAO)

LIST OF ACRONYMS

AI	Artificial Intelligence
ASPI	All Share Price Index
AWCMR	Average Weighted Call Money Rate
AWDR	Average Weighted Deposit Rate
AWLR	Average Weighted Lending Rate
AWNDR	Average Weighted New Deposit Rate
AWNLR	Average Weighted New Lending Rate
AWNSR	Average Weighted New SME Lending Rate
AWPR	Average Weighted Prime Lending Rate
AWRR	Average Weighted Repo Rate
BOE	Bank of England
BOJ	Bank of Japan
bps	basis points
CAR	Capital Adequacy Ratio
CBA	Central Bank of Sri Lanka Act, No. 16 of 2023
CCPI	Colombo Consumer Price Index
CI	Confidence Interval
COICOP	Classification of Individual Consumption According to Purpose
CSE	Colombo Stock Exchange
DCS	Department of Census and Statistics
DIEs	Direct Investment Enterprises
ECB	European Central Bank
EFF	Extended Fund Facility
EPF	Employee Provident Fund
FAO	Food and Agriculture Organization
FCs	Finance Companies
FDI	Foreign Direct Investment
FED	US Federal Reserve
FIT	Flexible Inflation Targeting
GDP	Gross Domestic Product
GOR	Gross Official Reserves
GPMN	Global Project Model Network

IIP	Index of Industrial Production
IMF	International Monetary Fund
IPSWRI	Informal Private Sector Wage Rate Index
LCBs	Licensed Commercial Banks
LCR	Liquidity Coverage Ratio
LTV	loan-to-value
m-o-m	month-on-month
MPB	Monetary Policy Board
MPC	Monetary Policy Committee
MPFA	Monetary Policy Framework Agreement
MPR	Monetary Policy Report
MPUI	Monetary Policy Uncertainty Indices
NCG	Net Credit to the Government
NCPI	National Consumer Price Index
NEER	Nominal Effective Exchange Rate
NFA	Net Foreign Assets
NIM	Net Interest Margin
OMO	Open Market Operations
OPR	Overnight Policy Rate
PAT	Profit After Tax
PBoC	People's Bank of China
PMIs	Purchasing Managers' Indices
pps	percentage points
QPM	Quarterly Projection Model
REER	Real Effective Exchange Rate
ROA	Return on Assets
ROE	Return on Equity
RWA	Risk Weighted Assets
SDFR	Standing Deposit Facility Rate
SLFR	Standing Lending Facility Rate
SLTDA	The Sri Lanka Tourism Development Authority
SOBEs	State-Owned Business Enterprises
S&P SL20	Standard & Poor's Sri Lanka 20
UK	United Kingdom

US	United States
USD	United States Dollar
VAT	Value Added Tax
y-o-y	year-on-year
YTD	year-to-date

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